SCHOOL OF BUSINESS AND MANAGEMENT SCIENCES

DEPARTMENT OF FINANCIAL ENGINEERING

MODELING EFFICIENCY OF SELF ADMINISTERED PENSION FUNDS IN ZIMBABWE USING A FRONTIER BASED OPTIMIZATION ANALYSIS AND RANDOM FOREST MODEL

BY

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THIS RESEARCH IS SUBMITTED TO THE DEPARTMENT OF FINANCIAL ENGINEERING SCHOOL OF BUSINESS AND MANAGEMENT SCIENCES IN PARTIAL FULFILMENT OF THE BACHELOR OF TECHNOLOGY HONOURS DEGREE IN FINANCIAL ENGINEERING

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DECLARATION

I, Lorraine Mujuru (H220021Y), declare that this research project is my own original work and has not been submitted for any degree or examination at any other university or institution. All sources of information have been duly acknowledged in accordance with the Harare Institute of Technology referencing guidelines.

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This research project has been examined and is accepted as satisfactory.

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DEDICATION

To my family, whose unwavering love, support, and encouragement have been the foundation of my academic journey.

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ABSTRACT

This study evaluates the technical and scale efficiency of self-administered standalone pension funds in Zimbabwe over the five-year period from 2021 to 2025, using Data Envelopment Analysis (DEA) and a complementary machine learning framework. The research applies input-oriented CCR (Constant Returns to Scale) and BCC (Variable Returns to Scale) DEA models to a sample of twelve registered Zimbabwean pension funds, treating each fund as a Decision-Making Unit (DMU) that transforms three financial inputs — total assets, operating expenses, and total equity and debt — into two outputs: net investment income and members' contributions.

The analysis is extended through a seven-stage hybrid framework that incorporates the Simar–Wilson bootstrap bias correction procedure to produce statistically reliable efficiency estimates, and a Random Forest regression model for second-stage determinant analysis. The bootstrap procedure corrects for finite-sample upward bias inherent in standard DEA applications to small populations, while the Random Forest model captures non-linear relationships between macroeconomic variables and efficiency outcomes.

Empirical results reveal that four funds consistently achieve full technical efficiency, while the remaining eight exhibit efficiency deficits averaging 36.1% under the CRS assumption. Scale efficiency decomposition identifies increasing returns to scale as the dominant condition among inefficient funds, supporting the case for pension fund consolidation. Random Forest analysis identifies exchange rate volatility and annual inflation as the principal macroeconomic constraints on pension fund efficiency, collectively explaining approximately 56% of efficiency variation.

The study contributes the first frontier-based efficiency assessment of Zimbabwean pension funds and introduces a transferable hybrid DEA–machine learning framework for emerging market pension efficiency research.

Key Words: Data Envelopment Analysis, pension fund efficiency, bootstrap bias correction, Random Forest, Zimbabwe, scale efficiency, macroeconomic determinants.

ABBREVIATIONS

BCC	Banker, Charnes and Cooper (Variable Returns to Scale DEA model)
CCR	Charnes, Cooper and Rhodes (Constant Returns to Scale DEA model)
CRS	Constant Returns to Scale
DEA	Data Envelopment Analysis
DMU	Decision-Making Unit
DRS	Decreasing Returns to Scale
IPEC	Insurance and Pensions Commission of Zimbabwe
IRS	Increasing Returns to Scale
MDI	Mean Decrease in Impurity
MDA	Mean Decrease in Accuracy
MIPF	Mining Industry Pension Fund
ML	Machine Learning
NSSA	National Social Security Authority
OOB	Out-of-Bag
PDP	Partial Dependence Plot
PTE	Pure Technical Efficiency
RF	Random Forest
RTS	Returns to Scale
SADC	Southern African Development Community
SE	Scale Efficiency
USD	United States Dollar
VRS	Variable Returns to Scale
ZWG	Zimbabwe Gold (currency)

CHAPTER 1

Introduction

1.1 Background to the Study

A pension fund is a massive pool of capital specifically designed to provide people with an income after they stop working. These pension funds are among the most significant long-term institutional investors in modern financial systems, responsible for mobilizing savings and allocating capital across financial markets in support of retirement income security and economic development (OECD, 2022). By pooling contributions and investing on behalf of members, pension funds influence capital formation, financial market stability, and intergenerational welfare (World Bank, 2019). As key components of any social protection architecture, retirement arrangements work alongside state systems of support, and individual savings in order to provide an additional or primary income stream and provide financial security to those who are older or no longer in employment (World Bank, 2020). With the reality of demographic aging and changes in labour markets, pension funds have also increasingly been acting as guardians of longer-term savings, major institutional investors, and important providers of stability in national financial systems (OECD, 2022). The ability of funds to function with efficiency, build trust and ensure their members can access their rightful pensions in a timely and reliable manner is very much dependent on their operational effectiveness and successful management (Barr & Diamond, 2016).

1.1.1 Historical Development of Pension Funds

The origins of organised pension provision can be traced to the late nineteenth century, when Otto von Bismarck introduced Germany's Old Age and Disability Insurance Law in 1889 — widely regarded as the first state-sponsored pension system in the world (World Bank, 1994). This foundational development established the principle of mandatory, contribution-linked retirement income and inspired similar reforms across Europe and North America during the early twentieth century. In the United States, the Social Security Act of 1935 formalised public pension provision as a response to the mass unemployment and elderly poverty of the Great Depression. The post-Second World War decades saw a rapid proliferation of occupational pension schemes as employers sought to attract and retain workers through deferred compensation arrangements, giving rise to the defined

benefit (DB) model that dominated private-sector pension provision for much of the twentieth century (Barr and Diamond, 2016).

From the 1980s onwards, a structural shift occurred in pension fund design as the fiscal unsustainability of defined benefit obligations became apparent in the context of population ageing and rising life expectancy. Defined contribution (DC) schemes, in which members bear investment risk directly, gained ascendancy across developed economies — particularly following the United States Employee Retirement Income Security Act (ERISA) of 1974 and the subsequent growth of 401(k)-type arrangements. By the early 2000s, multi-pillar pension architectures — combining mandatory public, mandatory private, and voluntary private pillars — had been adopted or recommended across a wide range of economies (World Bank, 1994; OECD, 2021). This diversification of pension structure intensified the importance of performance and efficiency measurement, as fund assets under management grew to represent a significant proportion of national financial wealth.

1.1.2 Pension Fund Development in Zimbabwe

Zimbabwe's pension fund sector has a history dating to the colonial era, when occupational pension schemes were established primarily to serve the white-collar workforce within parastatal and mining organisations. Following independence in 1980, successive governments expanded the regulatory framework for pension provision, and the Insurance and Pensions Commission (IPEC) was established under the Insurance Act to provide regulatory oversight of both the insurance and pension industries (IPEC, 2023). The sector grew to encompass a range of self-administered standalone funds, insured funds managed by insurance companies, and occupational provident funds across both public and private sectors.

Zimbabwe's pension fund sector has, however, been severely disrupted by macroeconomic instability. The hyperinflationary crisis of 2007–2008, during which Zimbabwe recorded the highest peacetime inflation rate ever measured, effectively wiped out the real value of pension savings accumulated over decades. The subsequent adoption of a multi-currency regime in 2009 and the eventual re-introduction of a domestic currency under successive currency reform programmes created persistent challenges for fund valuation, asset pricing, and benefit adequacy. These structural disruptions rendered the Zimbabwean pension fund sector particularly vulnerable to managerial inefficiency, as funds struggled to preserve real asset values in an environment of currency volatility, illiquid capital markets, and constrained investment opportunities (IPEC, 2023). Against this backdrop, the operational efficiency of pension fund management assumes heightened significance:

inefficient resource utilisation not only erodes returns for members but directly threatens the financial sustainability of the pension system itself.

1.1.3 Efficiency Measurement in Financial Institutions

In evaluating pension fund performance, traditional indicators such as nominal returns, funding ratios, and solvency measures have been widely applied. However, these indicators provide limited insight into how efficiently pension funds utilize their available financial and operational resources (Eling and Luhnen, 2010). As a result, frontier-based efficiency measurement techniques have gained prominence in the financial economics and operations research literature. The seminal contribution of Farrell (1957) introduced the concept of technical efficiency as the ability of a production unit to maximise output from a given set of inputs, and laid the groundwork for the development of non-parametric efficiency frontier methods. Building on Farrell's framework, Charnes, Cooper and Rhodes (1978) developed Data Envelopment Analysis (DEA) — a linear programming-based technique that constructs an empirical efficiency frontier from observed data without imposing a parametric functional form on the production technology.

Data Envelopment Analysis (DEA) is a non-parametric optimization technique that has been extensively applied to evaluate the relative efficiency of financial institutions, including banks, insurance companies, and pension funds (Charnes, Cooper and Rhodes, 1978; Cooper, Seiford and Tone, 2013). DEA allows for the assessment of efficiency without imposing restrictive assumptions on the production technology, making it particularly suitable for financial institutions with complex input–output relationships. Subsequent extensions of the DEA framework, notably the BCC model introduced by Banker, Charnes and Cooper (1984), allowed for the decomposition of technical efficiency into pure technical efficiency and scale efficiency, enabling researchers to distinguish between inefficiencies arising from managerial decisions and those attributable to sub-optimal scale of operation. These methodological advancements have been widely applied to evaluate efficiency in banking, insurance, and pension fund management across both developed and emerging economies (Kaffash et al., 2020; Barros and Garcia, 2006).

Despite the growing international literature on pension fund efficiency, empirical evidence from developing economies remains limited. This gap is especially pronounced in Zimbabwe, where pension funds operate under conditions of macroeconomic volatility, high inflation, currency instability, and constrained capital markets (OECD, 2021). These conditions have historically affected asset values, investment strategies, and the real purchasing power of retirement benefits.

Given the unique institutional and economic environment in Zimbabwe, there is a need for a rigorous, quantitative assessment of pension fund efficiency that goes beyond descriptive performance measures. This study responds to that need by applying a DEA-based efficiency framework tailored to the Zimbabwean pension fund sector.

1.2 Statement of the Problem

Although pension funds play a critical role in Zimbabwe's financial system, there is no established optimization-based framework for assessing how efficiently these institutions utilize their resources. Regulatory oversight primarily emphasizes compliance, solvency, and nominal performance indicators, which do not capture managerial efficiency or scale-related inefficiencies (Barrientos and Boussofiane, 2018).

In an economy characterized by persistent inflation and financial instability, inefficient pension fund operations can lead to misallocation of scarce long-term savings, erosion of contributors' retirement benefits, and reduced confidence in the pension system. Without empirical efficiency measurement, inefficiencies may remain unobserved and unaddressed.

The problem addressed in this study is therefore the absence of a rigorous, quantitative evaluation of pension fund efficiency in Zimbabwe that incorporates both managerial performance and scale effects using the DEA.

1.3 Objectives

1. To evaluate the technical efficiency of self-administered pension funds in Zimbabwe using a Data Envelopment Analysis framework.
2. To decompose overall technical efficiency into pure technical efficiency and scale efficiency components.
3. To benchmark individual pension fund efficiency scores against best-practice peers and rank funds relative to the efficiency frontier.

1.4 Research Questions

1. Are self-administered pension funds in Zimbabwe technically efficient in utilizing their resources?
2. To what extent can overall technical inefficiency be decomposed into pure technical and scale efficiency components among self-administered pension

funds in Zimbabwe?

3. How do self-administered pension funds benchmark against best-practice peers on the efficiency frontier?

1.5 Significance of the Study

Academically, this study contributes to the limited body of literature on pension fund efficiency in developing economies by applying a frontier-based efficiency measurement framework (Kaffash et al., 2020). The study extends efficiency analysis to a context characterized by macroeconomic volatility and institutional constraints. Methodologically, the study demonstrates the application of non-parametric optimization techniques, reinforcing the relevance of DEA in evaluating efficiency in pension funds (Cooper et al., 2007).

From a policy perspective, the findings provide regulators with objective benchmarks for evaluating pension fund performance beyond compliance indicators. Pension fund managers benefit from insights into resource allocation and scale optimization, ultimately contributing to improved retirement income security.

1.6 Scope of the Study

The study focuses on selected registered and active self-administered standalone pension funds operating in Zimbabwe, defined as funds managed by their own boards of trustees and not underwritten by insurance companies, registered under the regulatory oversight of the Insurance and Pensions Commission of Zimbabwe (IPEC). The analysis covers a study period of five financial years, spanning from 2021 to 2025, a period that captures Zimbabwe's post-pandemic economic recovery and ongoing macroeconomic stabilisation, thereby capturing meaningful variation in pension fund operating conditions.

Geographically, the study is confined to Zimbabwean pension funds and does not extend to regional or cross-country comparisons, as the objective is to evaluate relative efficiency within the domestic institutional context. Only funds for which complete and audited financial statements are publicly available for the study period are included; funds with incomplete or non-comparable data are excluded from the sample. The analysis is further limited to technical efficiency measurement using secondary financial data sourced from annual financial statements, IPEC regulatory reports, and published disclosures. It does not extend to governance quality, member satisfaction, or qualitative dimensions of pension fund performance. Labour input data, such as staff numbers or wage bills, are ex-

cluded due to inconsistent reporting across funds; the selected inputs and outputs are therefore restricted to balance sheet and income statement items consistent with the intermediation approach applied in comparable DEA studies (Chrysanthopoulou, Mavrommati and Migdalas, 2023; Barrientos and Boussofiane, 2005).

The study does not incorporate the National Social Security Authority (NSSA), which operates as a public statutory body under a distinct legislative mandate and is not directly comparable to self-administered standalone funds. Similarly, insured/underwritten funds, occupational schemes, informal sector savings arrangements and individual retirement annuities are outside the scope of this analysis. The conclusions drawn from this study are therefore applicable to the formal, registered self-administered pension fund sector and should be interpreted within the specific macroeconomic and institutional context of Zimbabwe during the study period.

1.7 Assumptions of the Study

The study is based on several key assumptions: that the pension fund data available is sufficiently accurate and complete for the purposes of modelling despite known historical data inconsistencies.

- Financial statements accurately represent pension fund operations.
- Selected inputs and outputs adequately capture pension fund activities.
- DEA assumptions regarding relative efficiency are satisfied.

1.8 Limitations of the Study

This study is subject to several limitations that should be considered when interpreting the findings.

Data Availability and Quality. The primary limitation of this study is the availability and completeness of pension fund financial data in Zimbabwe. Unlike developed economies where pension fund disclosures are standardised and easily accessible, Zimbabwean pension funds vary significantly in their reporting practices. Some funds may not publish annual financial statements in the public domain, which constrains the achievable sample size. Furthermore, historical data quality may be affected by accounting restatements, currency conversions, and the use of different valuation bases across reporting periods, particularly during the hyperinflationary and currency-transition periods covered by the study.

Macroeconomic Instability and Comparability. Zimbabwe's macroeconomic

environment during the study period was characterised by severe currency volatility, including the reintroduction of the Zimbabwean dollar, rapid inflation, and multiple exchange rate regimes. The conversion of local currency (ZWG) figures to USD-equivalent values introduces exchange rate risk and may distort the comparability of efficiency scores across different years. The inherent instability of the operating environment may also mask genuine efficiency improvements or declines that are attributable to managerial decisions, as opposed to macroeconomic shocks beyond management's control.

DEA Methodological Limitations. As a deterministic, non-parametric technique, DEA does not account for statistical noise or random error in the data. All deviations from the efficiency frontier are attributed to inefficiency, even if some variation is due to measurement error or random disturbances in the financial data. DEA efficiency scores are also sensitive to the choice of inputs and outputs, and the results may change if different variable specifications are adopted. Additionally, DEA efficiency is a relative measure: the efficiency scores are determined by the composition of the sample, meaning that the addition or removal of a fund from the dataset can alter the efficiency frontier and the scores of all other funds.

Absence of Environmental Variables. The DEA model employed in this study does not directly incorporate environmental or contextual variables such as the regulatory regime, fund governance quality, investment strategy, or macroeconomic conditions as inputs or outputs. These factors may influence efficiency scores in ways that the model cannot fully capture. While this limitation is common to most DEA applications in financial institutions, it should be acknowledged that the efficiency scores reflect relative performance under a simplified input–output framework.

Generalisation of Findings. The findings of this study are specific to the sample of Zimbabwean pension funds examined over the defined study period. Given the unique institutional and macroeconomic characteristics of Zimbabwe, the results may not be directly generalised to pension fund sectors in other countries or to the Zimbabwean sector under materially different economic conditions.

1.9 Organization of the Study

The study is divided into five chapters, each addressing a distinct aspect of the research process. The structure of the study is outlined below.

Chapter One: Introduction. This chapter introduces the study by defining key concepts and contextualising the research within the broader literature on pension

fund efficiency. It provides the background to the study, tracing the historical development of pension funds globally and in Zimbabwe, and highlighting the role of frontier-based efficiency measurement in the assessment of pension fund performance. The statement of the problem is presented as a concise articulation of the efficiency measurement gap in the Zimbabwean pension sector. The chapter further sets out the research objectives and research questions, and discusses the significance, scope, assumptions, and limitations of the study.

Chapter Two: Literature Review. This chapter presents a comprehensive review of the theoretical and empirical literature relevant to pension fund efficiency measurement. The conceptual framework underpinning the study is established, followed by a review of theoretical foundations including production frontier theory, Data Envelopment Analysis methodology, scale efficiency concepts, and institutional governance theory. The empirical review surveys DEA applications to pension funds and related financial institutions across developed and developing economies, with particular attention to the benchmark study by Chrysanthopoulou, Mavrommati and Migdalas (2023). The chapter concludes by identifying the specific research gap that this study addresses.

Chapter Three: Research Methodology. This chapter outlines the research design and methodology adopted for the study. A quantitative research design based on Data Envelopment Analysis is justified as the most appropriate framework for the objectives of the study. The target population, sampling approach, data collection instruments, and secondary data sources are described. The DEA model is formulated in full, including the CCR (CRS) and BCC (VRS) linear programming specifications and the formula for deriving scale efficiency. The data analysis tools and procedures are also presented in this chapter.

Chapter Four: Data Analysis and Presentation. This chapter presents the results of applying the DEA model to the collected data. Statistical diagnostic tests are reported, followed by the DEA efficiency scores for each decision-making unit under both the CRS and VRS assumptions. The decomposition of technical efficiency into pure technical efficiency and scale efficiency is presented, and the returns-to-scale characteristics of each fund are identified. Data interpretation is provided alongside tables and figures that support the empirical findings, and the results are discussed in the context of the research questions and objectives.

Chapter Five: Research Findings, Conclusions and Recommendations. The final chapter synthesises the main findings of the study and draws conclusions with respect to the efficiency of pension funds in Zimbabwe. Recommendations are formulated for pension fund managers, regulators, and policymakers based on

the empirical evidence. The chapter also identifies directions for future research and reflects on the contribution of the study to the financial engineering literature on pension fund efficiency in emerging markets.

1.10 Chapter Summary

This chapter introduced the study and established the foundation for a frontier-based efficiency analysis of pension funds in Zimbabwe. The background to the study traced the historical development of pension funds from their nineteenth-century origins to the multi-pillar architectures prevalent in contemporary economies, and contextualised the development of Zimbabwe's pension sector within the country's unique macroeconomic history, including the impact of hyperinflation and currency instability on pension fund sustainability. The evolution of efficiency measurement techniques in financial institutions was reviewed, highlighting the transition from traditional performance indicators to frontier-based methods, and the emergence of Data Envelopment Analysis as the predominant non-parametric tool for evaluating relative efficiency.

The statement of the problem identified the absence of a rigorous, optimisation-based efficiency framework for Zimbabwean pension funds as the central research gap. Three research objectives were established: evaluating the technical efficiency of self-administered pension funds in Zimbabwe using DEA; decomposing overall technical efficiency into pure technical and scale efficiency components; and benchmarking individual funds against the efficiency frontier. Three corresponding research questions were formulated to address each objective.

The significance of the study was discussed from academic, methodological, and policy perspectives, demonstrating that the study fills a geographical and institutional gap in the frontier efficiency literature while providing practical benchmarking tools for pension fund regulators and managers. The scope of the study was defined as the formal registered pension sector in Zimbabwe over a five-year study period, and the key assumptions underlying the DEA framework were stated. The limitations of the study — including data availability constraints, macroeconomic distortions, DEA's deterministic nature, and the absence of environmental variables — were acknowledged to ensure transparency in the interpretation of findings. The chapter concluded with an overview of the five-chapter structure of the study.

CHAPTER 2

Literature Review

2.1 Introduction

In this chapter, a review of previous studies on efficiency of pension funds conducted from a theoretical and empirical point of view is presented. The goal is to identify the research gap which the research ought to bridge. From an empirical review standpoint, the review shall also review the results obtained by other researchers which shall be a comparison basis also to the results obtained in this study.

The chapter is structured as follows. Section 2.2 presents the conceptual framework underpinning the study. Section 2.3 reviews the theoretical literature on efficiency measurement, production frontier theory, and the DEA methodology. Section 2.4 surveys empirical studies on pension fund efficiency across developed and developing economies, with particular attention to the benchmark study by Chrysanthopoulou, Mavrommati and Migdalas (2023) on Greek occupational pension funds. Section 2.5 justifies the present study by identifying the specific research gap it addresses. Section 2.6 provides a chapter summary.

2.2 Conceptual Framework

A conceptual framework is a structure, which the researcher believes can best explain the natural progression of the phenomenon to be studied (Camp, 2001).

This study is anchored on frontier-based efficiency theory, which conceptualises pension funds as financial production entities that transform multiple financial and operational inputs into measurable financial outputs. Within this framework, each pension fund is regarded as a Decision-Making Unit (DMU) whose performance is evaluated relative to a best-practice efficiency frontier constructed from observed data using Data Envelopment Analysis (DEA).

Pension funds operate by mobilising financial resources from contributors and deploying these resources through investment and administrative processes in order to generate investment income, meet benefit obligations, and ensure long-term fund sustainability. The efficiency of a pension fund is therefore determined by

how effectively it utilises available inputs to generate desirable outputs, given prevailing institutional and market conditions.

In the conceptual framework of this study, inputs represent controllable financial and operational resources employed by pension fund management. These include total assets under management, net assets or equity, and administrative and operating expenses. These inputs reflect the scale of operations, financial capacity, and managerial resource utilisation. Efficient pension funds are expected to minimise the use of these inputs while maintaining their ability to generate targeted financial outcomes.

Outputs represent the financial outcomes produced through pension fund operations. These include investment income, net income, and the capacity to meet benefit payment obligations. Outputs are treated as desirable results that pension funds seek to sustain or improve through efficient management of resources.

The transformation of inputs into outputs is modelled using Data Envelopment Analysis, a non-parametric optimisation technique that constructs an empirical efficiency frontier. Pension funds operating on this frontier are considered technically efficient, as they achieve the maximum feasible outputs for a given level of inputs. Pension funds operating below the frontier are deemed inefficient, indicating the existence of excess input usage relative to best-performing peers.

The framework further decomposes efficiency into three interrelated components. Technical Efficiency captures the overall ability of a pension fund to minimise inputs while maintaining output levels. Pure Technical Efficiency isolates managerial efficiency by removing scale effects, thereby reflecting inefficiencies attributable to management practices and operational decisions. Scale Efficiency measures whether a pension fund operates at an optimal size, identifying inefficiencies arising from operating under increasing or decreasing returns to scale.

The operating environment of Zimbabwe, characterised by macroeconomic conditions, regulatory structures, and financial market constraints, provides the contextual background within which pension funds operate. While these factors are not directly incorporated as inputs or outputs in the DEA model, they influence the interpretation of efficiency outcomes and the sustainability of pension fund operations.

Overall, the conceptual framework establishes a structured link between pension fund resources (inputs), financial performance outcomes (outputs), and efficiency measures derived from a frontier-based optimisation model. This framework provides the analytical foundation for evaluating relative efficiency, decomposing

sources of inefficiency, and generating policy-relevant insights into the performance and sustainability of pension funds.

2.3 Theoretical Literature

2.3.1 Production Frontier Theory and Technical Efficiency

The theoretical underpinnings of efficiency analysis in financial institutions, particularly pension funds, are grounded in production and optimisation theory. Technical efficiency theory conceptualises efficiency as the ability of a decision-making unit to maximise outputs for a given set of inputs or, conversely, to minimise inputs for a required level of outputs (Farrell, 1957; Charnes, Cooper and Rhodes, 1978). In the context of pension funds, this framework positions pension schemes as production units that convert financial and operational resources into retirement income and benefit obligations, making efficiency measurement critical for evaluating performance and sustainability. Farrell's (1957) seminal decomposition of productive efficiency into technical and allocative components established the conceptual foundation upon which all subsequent frontier-based efficiency research is built, and remains the theoretical reference point for DEA-based studies of financial institutions.

2.3.2 Data Envelopment Analysis as an Efficiency Measurement Tool

Contemporary empirical research continues to extend the foundational efficiency theory into nuanced applications tailored for financial services. Data Envelopment Analysis (DEA) remains the predominant non-parametric optimisation technique for modelling relative efficiency without imposing a predefined functional form on the data (Coelli et al., 1998; Avkiran, 1999). DEA's basis in linear programming allows for multi-input and multi-output evaluations, which mirror the complex nature of pension fund operations where managers simultaneously balance administrative costs, asset growth, and financial outcomes. The CCR model (Charnes, Cooper and Rhodes, 1978) assumes constant returns to scale and provides an overall technical efficiency score, while the BCC model (Banker, Charnes and Cooper, 1984) relaxes this assumption to allow variable returns to scale, enabling the isolation of pure technical efficiency from scale effects.

Recent empirical work has applied DEA to assess the technical efficiency of pension funds and related financial entities across different economies, signalling a broadening of the theoretical application of efficiency models. For example, Demirtaş

and Keçeci (2020) use dynamic DEA to measure the efficiency of pension companies in Turkey, illustrating how traditional DEA models can be extended to account for intertemporal performance linkages. Similarly, Verberi and Kaplan (2026) employ DEA alongside econometric and market structure models to evaluate technical efficiency and economies of scale among Turkish private pension providers, demonstrating how scale economics theoretically interacts with efficiency outcomes. These findings support theoretical assertions that larger organisational scale can both enhance and constrain efficiency, consistent with scale-efficiency decomposition in frontier analysis (Banker, Charnes and Cooper, 1984; Barros and Garcia, 2006).

2.3.3 Extensions: Network and Dynamic DEA Frameworks

Beyond traditional DEA models, recent theoretical advancements include network and dynamic DEA frameworks, which enrich the standard single-stage efficiency models to reflect internal structures or time-linked processes. Such frameworks align with theoretical models that decompose efficiency into operational sub-functions, recognising that managerial efficiency and investment strategy may contribute distinctly to overall performance (Seran et al., 2023; Demirtaş and Keçeci, 2020). These developments reflect a theoretical shift toward multi-stage performance modelling, where efficiency is not treated as a uniform construct but as a composite of function-specific efficiencies. Network DEA, in particular, allows the modelling of internal processes within a DMU, such as the separation of investment management efficiency from administrative efficiency within a pension fund.

2.3.4 Scale Efficiency and Economies of Scale

Theoretically, pension fund efficiency is also closely linked to economies of scale and organisational characteristics. Scale economics theory postulates that as firms increase in size, average costs may decline up to a point due to spreading fixed costs and leveraging bargaining power (Bikker and de Dreu, 2009). Recent empirical DEA research supports this theoretical link: larger pension providers often exhibit higher technical efficiency, although diminishing returns can emerge beyond optimal scale thresholds (Verberi and Kaplan, 2026). This aligns with theoretical models of scale efficiency, which differentiate between pure technical efficiency and scale efficiency as distinct sources of performance variation. For pension fund regulators, this theoretical insight implies that consolidation policies may improve scale efficiency, but only up to the point of optimal fund size.

2.3.5 Institutional Governance and Regulatory Frameworks

Furthermore, the theoretical literature recognises that efficiency measurement in financial institutions must consider institutional constraints and governance structures that influence managerial decision-making. Although less of a focus in pure optimisation models, organisational and governance theories emphasise that regulatory frameworks, risk management practices, and board structures shape the ability of funds to achieve efficient outcomes. These theoretical strands enrich DEA models by situating efficiency within a broader context of institutional behaviour and strategic choice. In the Zimbabwean context, the regulatory environment governed by IPEC, combined with macroeconomic constraints, provides an important institutional backdrop that shapes the efficiency outcomes observed in the empirical analysis.

Taken together, the theoretical literature suggests that efficiency modelling in pension funds must integrate multiple theoretical constructs — production frontier theory, scale economics, organisational governance, and dynamic optimisation — to capture the multifaceted nature of pension performance. DEA continues to serve as the core theoretical and methodological tool for operationalising these concepts in empirical research, offering a flexible and rigorous framework for measuring both technical and scale efficiency in complex financial environments.

2.4 Empirical Literature

Empirical studies on pension fund efficiency using Data Envelopment Analysis (DEA) have grown in recent years, particularly across emerging and developed economies. These studies provide benchmarks for methodology, input–output choices, and efficiency decomposition, and are directly relevant to the empirical design of this Zimbabwean pension fund investigation.

2.4.1 Pension Fund Efficiency in European Economies

In a study examining the efficiency of mandatory pension funds, researchers applied DEA to a sample of 12 funds in Croatia for the period 2015–2018. The findings indicated relatively small differences in technical efficiency scores among funds, suggesting that most operated close to best practice within a homogenous institutional environment (Draženović, Hodžić and Maradin, 2019). This result is consistent with the expectation that mandatory funds operating under a uniform regulatory regime and similar investment mandates will exhibit relatively low efficiency dispersion, in contrast to voluntary occupational funds where strategic

heterogeneity is greater.

2.4.2 Network and Multi-Stage DEA Applications

Advancing beyond traditional single-stage DEA, Seran et al. (2023) applied a two-stage additive network DEA to Indonesian pension funds to capture sub-process efficiencies such as operational and investment management. Their results showed that investment efficiency was the main source of overall inefficiency, underscoring the importance of modelling internal fund processes rather than treating the pension fund as a 'black box.' This network DEA approach provides guidance on capturing multi-stage dynamics in fund performance and highlights the value of decomposing overall efficiency into its functional components when informing managerial decisions.

2.4.3 Evidence from the African Context

Empirical evidence from the African context also points to practical applications of DEA in pension funds. A recent study on pension fund offices in Tanzania used the BCC DEA model to evaluate efficiency across administrative and output metrics, finding that no decision-making unit achieved full efficiency and that operational inputs significantly influenced inefficiency outcomes. Such evidence underscores the relevance of non-parametric methods in African pension fund evaluations and provides a directly comparable regional precedent for the Zimbabwean analysis in this study. The findings from Tanzania suggest that pension funds in Sub-Saharan Africa frequently operate with excess inputs relative to best-practice peers, a pattern consistent with the structural and institutional challenges documented in Zimbabwe's pension sector (IPEC, 2023).

2.4.4 Scale Effects and Market Structure

At the macro sector level, empirical work in Turkey (Verberi and Kaplan, 2026) assessed private pension firms using a DEA-based efficiency measurement combined with additional econometric analyses to examine scale economies and market structure. Their results found that larger pension firms generally displayed higher efficiency, though diminishing returns were observed at very high asset scales, indicating that scale effects are not always uniformly beneficial for pension fund performance. This empirical finding corroborates the theoretical predictions of scale economics theory and has direct implications for the Zimbabwean context, where the co-existence of large self-administered funds and small insured funds implies significant scale heterogeneity within the sector.

2.4.5 Hybrid DEA and Determinant Analysis

In addition to purely DEA-centric work, several empirical pension studies integrate DEA with regression analysis to explore determinants of efficiency. Some researchers have combined technical efficiency scores from DEA with second-stage regression models — such as Tobit regression — to examine the influence of fund characteristics such as age, size, contribution rates, and governance quality on efficiency outcomes. While specific to other institutional contexts, such hybrid methods offer methodological precedence for incorporating determinant analysis into pension efficiency research and could serve as the basis for extensions to the present study in future work.

2.4.6 Dynamic DEA and Intertemporal Efficiency

Other applied DEA research highlights methodological enhancements relevant for pension funds. Dynamic DEA models have been employed to account for intertemporal links between performance periods, improving discriminatory power over conventional static DEA models. Such approaches capture the carry-over effect of assets and liabilities from one period to the next, which is particularly relevant for pension funds where investment decisions in one year affect financial outcomes in subsequent years. Demirtaş and Keçeci (2020) demonstrated the applicability of dynamic DEA to Turkish private pension companies, showing that static efficiency scores may overstate or understate true performance when intertemporal dependencies are ignored. Such approaches can be particularly useful for pension fund studies where performance evolves over time.

Overall, the empirical literature illustrates that DEA remains a robust and adaptable tool for evaluating pension fund efficiency across different institutional settings. These studies justify the choice of DEA in pension fund research and offer methodological variants — such as network DEA and hybrid analyses — that can be considered when assessing technical and scale efficiency in less-studied contexts like Zimbabwe.

2.4.7 Benchmark Study: Greek Occupational Pension Funds

The most directly comparable study to the present research is that of Chrysanthopoulou, Mavrommati and Migdalas (2023), who assessed the technical efficiency of sixteen occupational pension funds in Greece for the period 2017–2020 using an input-oriented DEA model. This study is particularly instructive as a methodological benchmark because it applies the same CCR and BCC DEA models, uses identical input–output variable specifications (total assets, total operating

expenses, total equity and debt as inputs; profits and members' contributions as outputs), and addresses a pension sector that, like Zimbabwe's, operates in a context of fiscal pressure and underdeveloped capital markets.

The Greek study found that approximately 50% of occupational pension funds achieved full technical efficiency in each year of the study period, with an average CRS technical efficiency score of 0.73 and an average VRS score of 0.836. These results imply that the average Greek occupational pension fund could reduce its inputs by approximately 27% while maintaining the same level of outputs. The study further found that total equity and debt was the most significant determinant of inefficiency, followed by total assets, while operating expenses were the least influential factor. Scale efficiency was identified as the primary driver of overall inefficiency, with smaller funds exhibiting increasing returns to scale and larger funds exhibiting decreasing returns to scale.

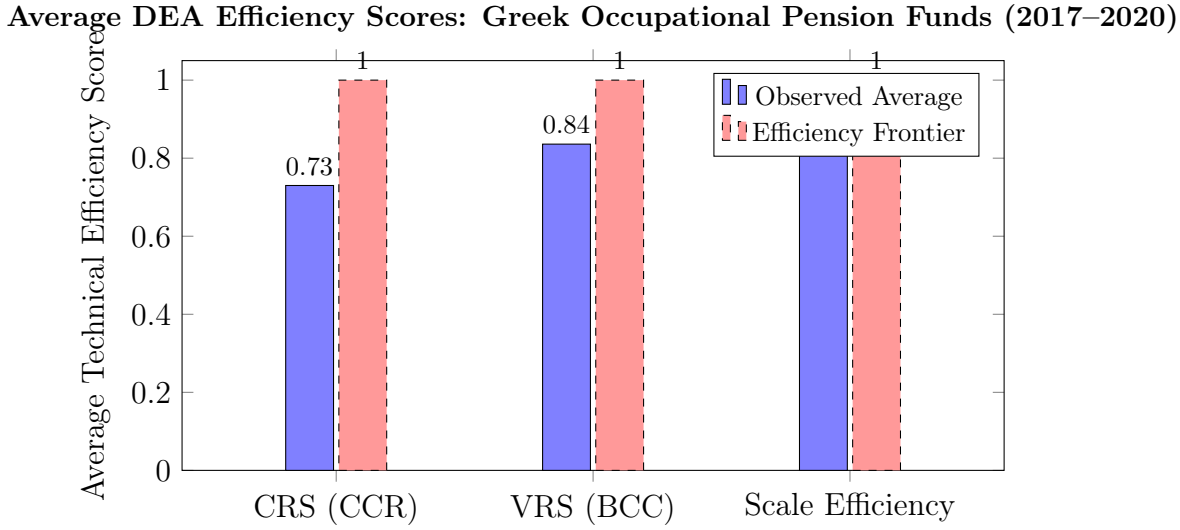

Figure 1: Average DEA efficiency scores for Greek occupational pension funds (2017–2020). The efficiency frontier (score = 1.0) represents best-practice performance. Source: Chrysanthopoulou, Mavrommati and Migdalas (2023).

The distribution of technical efficiency scores in the Greek study reveals considerable heterogeneity across funds. In 2017, scores ranged from 0.207 to 1.000, with 50% of funds achieving full efficiency. By 2020, the range was 0.280 to 1.000, again with 50% achieving full efficiency. This pattern of persistent heterogeneity, combined with an upward trend in average efficiency, provides a useful comparative baseline for the Zimbabwean context, where macroeconomic instability may produce greater dispersion in efficiency scores.

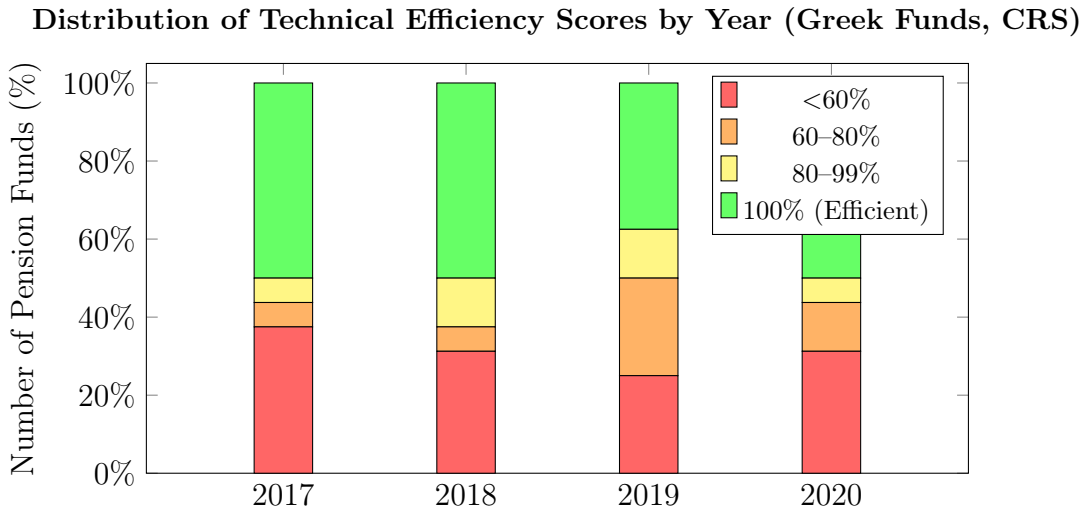

Figure 2: Distribution of CRS technical efficiency scores for Greek occupational pension funds, 2017–2020. Source: Chrysanthopoulou, Mavrommati and Migdalas (2023).

The Greek study's finding that scale efficiency is the dominant source of inefficiency has direct implications for the Zimbabwean context. Zimbabwe's pension sector is characterised by a mix of large self-administered funds and smaller insured funds, suggesting that scale-related inefficiencies may similarly be prevalent. The recommendation by Chrysanthopoulou, Mavrommati and Migdalas (2023) to promote consolidation through "open" or multi-employer pension funds resonates with the Zimbabwean regulatory environment, where the Insurance and Pensions Commission (IPEC) has increasingly encouraged fund mergers to achieve operational scale.

2.4.8 Pension Fund Efficiency in Developing Economies

The application of DEA to pension funds in developing economies has gained momentum in recent years, driven by growing recognition that efficiency measurement is particularly critical in contexts where capital is scarce and institutional capacity is limited. Barrientos and Boussofiane (2005) conducted a pioneering study of Chilean pension fund managers, finding that efficiency varied substantially across fund administrators and that larger funds tended to exhibit higher efficiency scores. Their study established the methodological template for subsequent DEA applications in Latin American pension systems.

In the African context, pension fund efficiency research remains nascent. The limited available evidence suggests that African pension funds frequently operate below the efficiency frontier, with inefficiencies attributable to both managerial factors and structural constraints. The Insurance and Pensions Commission

of Zimbabwe (IPEC) has documented persistent concerns about administrative cost ratios and investment performance among registered pension funds, suggesting that efficiency measurement could provide valuable diagnostic information for regulatory oversight (IPEC, 2023).

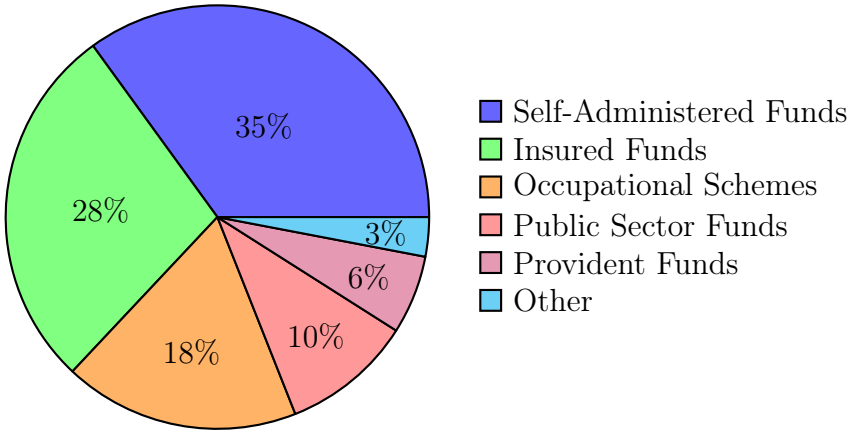

Figure 3: Estimated composition of the Zimbabwean pension fund sector by fund type (IPEC, 2023). Self-administered and insured funds collectively account for approximately 63% of the sector.

2.4.9 Input–Output Selection in Pension Fund DEA Studies

A critical methodological consideration in DEA applications to pension funds is the selection of appropriate input and output variables. The literature reveals two broad approaches: the production approach and the intermediation approach. Under the production approach, pension funds are treated as producers of services, with labour and capital as inputs and the number of members or benefit payments as outputs (Barros and Garcia, 2006). Under the intermediation approach, pension funds are treated as financial intermediaries, with financial resources as inputs and investment returns or benefit obligations as outputs (Eling and Luhnen, 2010).

The present study adopts a hybrid approach consistent with Chrysanthopoulou, Mavrommati and Migdalas (2023) and Barrientos and Boussofiane (2005), using balance sheet items as both inputs and outputs. This approach is particularly appropriate for the Zimbabwean context, where data on labour inputs (staff numbers, wages) is less consistently reported than financial statement data. The selected inputs — total assets, total operating expenses, and total equity and debt — capture the scale of operations, cost structure, and financial capacity of pension funds. The selected outputs — net investment income and members' contributions — reflect the primary financial outcomes of pension fund operations.

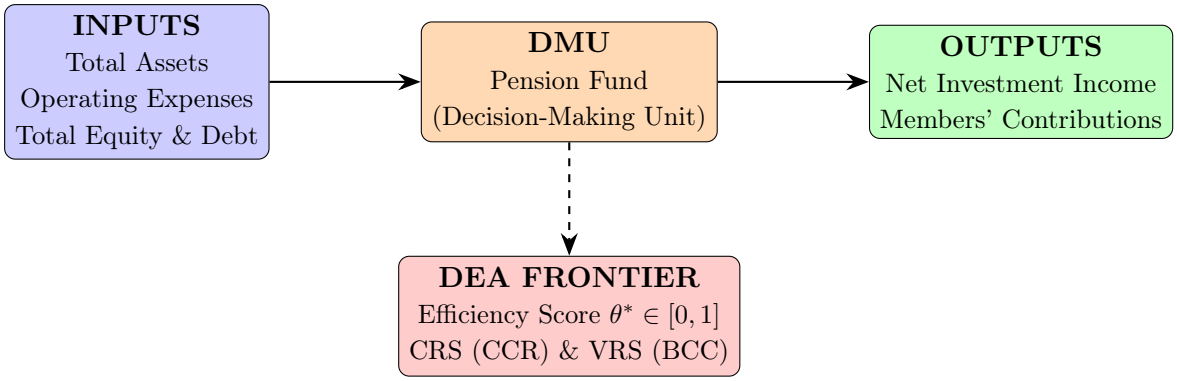

Figure 4: Input–output framework for DEA efficiency measurement of Zimbabwean pension funds. Each pension fund constitutes a Decision-Making Unit (DMU) evaluated against the best-practice efficiency frontier.

2.5 Justification of the Present Study

Pension funds play a critical role in financial intermediation, long-term capital formation, and social protection by mobilising contributions and transforming them into sustainable retirement benefits. The efficiency with which pension funds utilise their financial and operational resources is therefore central to their ability to meet benefit obligations, preserve contributors' wealth, and maintain financial sustainability. In emerging economies, where financial markets are often constrained and macroeconomic volatility is pronounced, efficiency considerations become even more critical.

Despite the growing international literature on pension fund performance, empirical evidence on efficiency — as opposed to returns or profitability — remains unevenly distributed across regions. Existing studies have largely concentrated on developed economies and a limited number of emerging markets, applying frontier-based techniques such as Data Envelopment Analysis (DEA) to evaluate technical and scale efficiency. These studies demonstrate that pension funds frequently operate below the efficiency frontier, with inefficiencies arising from both managerial practices and sub-optimal scale of operation.

However, there is a notable absence of rigorous frontier-based efficiency studies focusing on pension funds in Zimbabwe. Most available analyses within the Zimbabwean context tend to emphasise descriptive performance indicators, regulatory compliance, asset allocation patterns, or nominal returns. While such analyses provide useful insights, they do not address the fundamental question of whether pension funds are utilising their available resources efficiently relative to best-practice peers. As a result, inefficiencies attributable to managerial decisions or scale effects remain largely unidentified and unquantified.

From a methodological perspective, existing local studies rarely employ non-parametric optimisation techniques that allow for simultaneous consideration of multiple inputs and outputs without imposing restrictive functional forms. The lack of DEA-based efficiency modelling means that pension fund performance in Zimbabwe has not been evaluated within a formal production frontier framework, limiting the ability to distinguish between technically efficient and inefficient funds or to identify the sources of inefficiency.

Furthermore, even within the broader international literature, many studies focus primarily on overall technical efficiency, with limited emphasis on efficiency decomposition. The distinction between pure technical efficiency (managerial efficiency) and scale efficiency (size-related efficiency) is crucial for policy and managerial decision-making, as the remedies for managerial inefficiency differ fundamentally from those associated with operating at a non-optimal scale. The absence of such decomposition in Zimbabwe-focused research creates a gap in understanding whether inefficiencies, if present, stem from poor resource management or from structural issues related to fund size.

This study is therefore justified on both empirical and methodological grounds. Empirically, it addresses a clear geographical and institutional gap by providing the first comprehensive assessment of technical and scale efficiency of Zimbabwean pension funds using a frontier-based approach. Methodologically, it advances the local pension literature by applying Data Envelopment Analysis to construct an efficiency frontier, derive efficiency scores endogenously, and decompose inefficiency into its technical and scale components.

By doing so, the study contributes to financial engineering practice by demonstrating how optimisation-based models can be applied to real-world pension systems in emerging markets. The findings are expected to provide valuable insights for pension fund managers, regulators, and policymakers by identifying efficiency benchmarks, highlighting sources of inefficiency, and informing strategies aimed at improving pension fund sustainability and performance.

2.5.1 Explicit Research Gap

Despite the extensive use of Data Envelopment Analysis in evaluating pension fund efficiency internationally, there is a lack of frontier-based empirical evidence on the technical and scale efficiency of pension funds in Zimbabwe. Existing local studies rely largely on descriptive performance measures and do not employ optimisation-based efficiency models capable of decomposing inefficiency into managerial and scale components. This study addresses this gap by applying DEA to assess and

decompose pension fund efficiency within the Zimbabwean context.

2.6 Chapter Summary

This chapter reviewed the theoretical and empirical literature relevant to the assessment of pension fund efficiency, with particular emphasis on frontier-based efficiency theory and the application of Data Envelopment Analysis. The review began by examining the theoretical foundations of efficiency measurement, including production frontier theory, technical and scale efficiency concepts, and the role of optimisation in evaluating the performance of financial institutions. These theoretical perspectives provided the analytical basis for modelling pension funds as decision-making units that transform financial and operational inputs into measurable outputs.

The chapter further reviewed empirical studies conducted between 2019 and 2026 that applied DEA and related frontier techniques to pension funds and comparable financial institutions across both developed and emerging economies. The reviewed studies demonstrated the widespread use of DEA in assessing technical efficiency, identifying best-practice frontiers, and decomposing inefficiency into managerial and scale-related components. Methodological variations observed in the literature, such as input-oriented versus output-oriented models, constant and variable returns to scale assumptions, and extensions including network and dynamic DEA models, were also discussed.

Despite the richness of the international literature, the review revealed a significant gap in empirical research focusing on pension fund efficiency within the context of Zimbabwe. Existing local studies were found to rely predominantly on descriptive performance indicators and lacked the application of optimization-based frontier models capable of providing relative efficiency benchmarks and efficiency decomposition. This gap underscored the need for a rigorous, non-parametric efficiency analysis tailored to the Zimbabwean pension sector.

The chapter concluded by synthesizing insights from the reviewed literature to justify the methodological choices adopted in this study. In particular, the use of Data Envelopment Analysis and the decomposition of efficiency into technical and scale components were shown to be consistent with established empirical practice and well-suited to addressing the identified research gap. The reviewed literature thus provided a strong foundation for the methodological framework presented in the subsequent chapter.

CHAPTER 3

Methodology

3.1 Introduction

This chapter seeks to offer a comprehensive overview of the research methods, design, and models utilized to meet the study's objectives. It details the variables integrated into the research and the diagnostic tests conducted. The chapter also emphasizes the advantages and disadvantages of the chosen research tools and explains the reasoning behind their selection. The chapter concludes with a presentation of the data analysis plan.

3.2 Research Design

According to Kerlinger (1986), research design is a plan, structure and strategy of investigation conceived to obtain answers to research questions and to control variance. This study utilises a quantitative research design based on the Data Envelopment Analysis (DEA) methodology. DEA is a non-parametric linear programming-based technique used to measure the relative efficiency of a sample of peer entities, referred to as Decision-Making Units (DMUs). In this research, each selected pension fund in Zimbabwe represents a single DMU.

3.3 Target Population and Sample

The target population for this study consists of all registered and active self-administered standalone pension funds in Zimbabwe. Self-administered standalone funds are employer-sponsored funds managed by their own boards of trustees, with assets held and investments managed directly by the fund rather than delegated to an insurance company. Examples include the Mining Industry Pension Fund (MIPF), CBZ Bank Staff Pension Fund, and Innscor Africa Staff Pension Fund. Insured/underwritten funds, occupational schemes, and the National Social Security Authority (NSSA) are excluded from the target population as they operate under materially different governance structures and investment mandates.

3.4 Data Collection Instruments

Chikukwa (2010) emphasizes that research instruments should be selected based on the type of data to be collected and the ability of the tools to effectively gather the necessary information within specific conditions. In this study data will be sourced from secondary sources specifically from annual financial statements and regulatory reports. To maintain the validity of the technical efficiency scores, only audited figures available in the public domain are considered. The instrument (data extraction template) must specifically capture the following "Engineered Variables" identified as the main determinants of efficiency:

Inputs: Total assets, total operating expenses, and total equity and debt.
Outputs: Profits (net investment income) and members' contributions.

All the data collected in local currency (ZWG) is converted to a stable USD-equivalent at the prevailing market rate on the date of the financial statement. This ensures that the "Technical Efficiency" measured by the model reflects actual management skill rather than inflationary distortions.

3.5 Secondary Data Collection Methods

The research relied on secondary data meaning no original research instruments were employed to collect data. Instead, data previously published by others was utilized, sourced from reputable international financial platforms.

3.5.1 Model Outline

The DEA methodology applied in this study follows the framework established by Chrysanthopoulou, Mavrommati and Migdalas (2023) in their assessment of Greek occupational pension funds, adapted to the Zimbabwean institutional context. The analytical process is structured into five sequential stages, as described below.

3.5.1.1 Stage 1: Variable Selection and Data Preparation

The first stage involves the selection of input and output variables consistent with the intermediation approach to pension fund production and the variable specifications validated in the benchmark literature. Three input variables and two output variables are specified as follows:

Input 1 — Total Assets (x_1): The total book value of assets under management, representing the scale of operations and the financial resources available to the fund.

Input 2 — Total Operating Expenses (x_2): Administrative and operational costs incurred in managing the fund, capturing managerial resource utilisation and cost efficiency.

Input 3 — Total Equity and Debt (x_3): Net assets plus total liabilities, reflecting the financial structure and overall funding capacity of the pension fund.

Output 1 — Net Investment Income (y_1): Profits generated from the investment of fund assets, representing the primary financial outcome of pension fund operations.

Output 2 — Members' Contributions (y_2): Total contributions received from active members and sponsoring employers during the period, representing the fund's ability to attract and retain a contribution base.

All data reported in Zimbabwe Gold (ZWG) is converted to USD-equivalent values at the official exchange rate prevailing on the date of each financial statement, in accordance with the approach adopted by Chrysanthopoulou, Mavrommati and Migdalas (2023) for currency-adjusted comparisons.

3.5.1.2 Stage 2: CCR Model — Constant Returns to Scale (CRS) DEA

The second stage applies the input-oriented CCR model, introduced by Charnes, Cooper and Rhodes (1978), which assumes Constant Returns to Scale (CRS). Following Chrysanthopoulou, Mavrommati and Migdalas (2023), the CRS technical efficiency score h_o for each DMU o is obtained by solving the following fractional programme:

$$\max\ h_o = \frac{\sum_{r=1}^{s} u_r\, y_{ro}}{\sum_{i=1}^{m} v_i\, x_{io}} \tag{1}$$

subject to:

$$\frac{\sum_{r=1}^{s} u_r\, y_{rj}}{\sum_{i=1}^{m} v_i\, x_{ij}} \leq 1, \quad j = 1, \ldots, n \tag{2}$$

$$u_r,\ v_i \geq \varepsilon, \quad r = 1, \ldots, s; \quad i = 1, \ldots, m \tag{3}$$

where h_o is the partial productivity (efficiency score) of the unit under evaluation; y_{rj} and x_{ij} denote the r-th output and i-th input of DMU j, respectively; u_r and v_i are the output and input weights to be determined by the model; y_{ro} and x_{io} are the outputs and inputs of the evaluated unit o; and $\varepsilon > 0$ is a small non-Archimedean constant ensuring all weights are strictly positive. A score of $h_o = 1$ indicates full CRS technical efficiency; $h_o < 1$ indicates that the fund operates below the CRS efficiency frontier and could achieve the same outputs with a proportional reduction in inputs.

3.5.1.3 Stage 3: BCC Model — Variable Returns to Scale (VRS) DEA

The third stage applies the BCC model introduced by Banker, Charnes and Cooper (1984), which extends the CCR model by allowing Variable Returns to Scale (VRS). The BCC model introduces a free scalar u_0 to capture scale effects, yielding the following fractional programme:

$$\max\ h_o = \frac{\sum_{r=1}^{s} u_r\, y_{ro} + u_0}{\sum_{i=1}^{m} v_i\, x_{io}} \tag{4}$$

subject to:

$$\frac{\sum_{r=1}^{s} u_r\, y_{rj} + u_0}{\sum_{i=1}^{m} v_i\, x_{ij}} \leq 1, \quad j = 1, \ldots, n \tag{5}$$

$$u_r,\ v_i \geq \varepsilon, \quad r = 1, \ldots, s; \quad i = 1, \ldots, m \tag{6}$$

$$u_0 \text{ free in sign} \tag{7}$$

The inclusion of u_0 relaxes the CRS assumption: $u_0 > 0$ implies increasing returns to scale, $u_0 < 0$ implies decreasing returns to scale, and $u_0 = 0$ reduces the BCC model to the CCR model. The BCC score isolates *pure technical efficiency* (PTE) — managerial efficiency net of scale effects. By construction, $h^*_{\text{VRS}} \geq h^*_{\text{CRS}}$ for all DMUs, since the VRS frontier is at least as permissive as the CRS frontier.

3.5.1.4 Stage 4: Scale Efficiency Computation

The fourth stage derives the scale efficiency (SE) score for each pension fund as the ratio of CRS technical efficiency to VRS pure technical efficiency:

$$\mathrm{SE}_o = \frac{\theta^*_{\mathrm{CRS},o}}{\theta^*_{\mathrm{VRS},o}} \tag{8}$$

A scale efficiency score of $\mathrm{SE}_o = 1$ indicates that the fund operates at the most productive scale size (optimal scale), meaning scale does not contribute to overall inefficiency. A value of $\mathrm{SE}_o < 1$ indicates scale inefficiency, which may arise from either increasing returns to scale (IRS) — where the fund is operating below optimal scale — or decreasing returns to scale (DRS) — where the fund has exceeded its optimal scale. The nature of the returns to scale for each fund is determined by solving the non-increasing returns to scale (NIRS) DEA model and comparing the NIRS and VRS scores: if $\theta^*_{\mathrm{NIRS}} = \theta^*_{\mathrm{VRS}}$, the fund exhibits DRS; if $\theta^*_{\mathrm{NIRS}} \neq \theta^*_{\mathrm{VRS}}$, the fund exhibits IRS.

3.5.1.5 Stage 5: Peer Analysis and Target Setting

The fifth stage identifies the peer group (reference set) for each inefficient fund. The peer set comprises the efficient DMUs (those with $\theta^* = 1$) whose linear combination defines the projected target on the efficiency frontier for a given inefficient fund. The input targets for an inefficient fund o are computed as:

$$\hat{x}_{io} = \theta^*_{\mathrm{CRS}} \cdot x_{io} - s_i^-, \quad i = 1, \ldots, m \tag{9}$$

where $s_i^- \geq 0$ are the input slack variables representing excess input usage beyond the radial reduction. The λ_j weights associated with efficient peers indicate the relative contribution of each benchmark fund to the efficiency target of the inefficient unit.

Peer analysis thus enables the identification of best-practice pension funds within the Zimbabwean sample and provides actionable benchmarks for inefficient funds. The peer frequencies — the number of times an efficient fund appears in the reference set of inefficient funds — are also reported as an indicator of the robustness of the efficiency frontier.

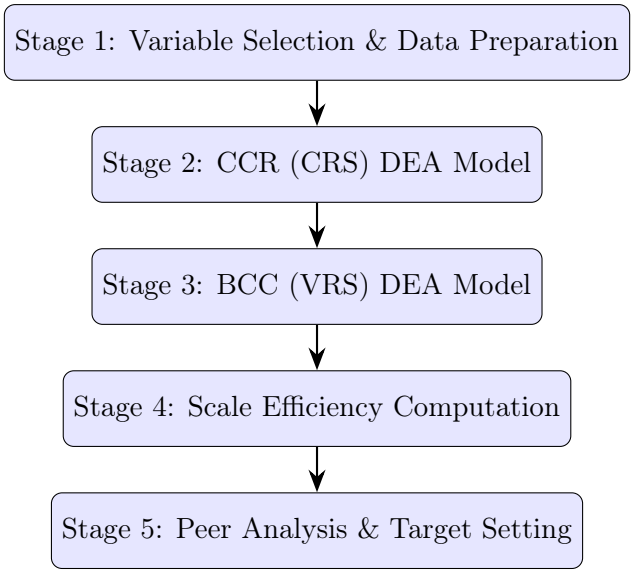

Figure 5: Five-stage DEA modelling framework applied to Zimbabwean pension fund efficiency analysis. Adapted from Chrysanthopoulou, Mavrommati and Migdalas (2023).

3.5.1.6 Stage 6: Bootstrap DEA and the Simar–Wilson Bias Correction Procedure

The standard DEA model is a linear programming-based technique that is highly sensitive to finite-sample bias. With a limited number of Zimbabwean pension funds in the sample, raw DEA efficiency scores may overstate true efficiency because the frontier is constructed from a small number of observations. This is a well-documented challenge in DEA applications to small populations (Simar and Wilson, 2007; Banker et al., 1993). To address this, the study integrates the Simar–Wilson bootstrap bias correction procedure directly into the model framework.

Bootstrap Bias Correction The first machine learning enhancement is the application of the Simar and Wilson (2007) bootstrap procedure to correct for finite-sample bias in the raw DEA efficiency scores. Without this correction, efficiency scores derived from small samples are statistically biased upward: because the empirical frontier is constructed from observed data points, scores mechanically concentrate near the frontier in small samples even when true efficiency levels are lower (Simar and Wilson, 2007).

The bootstrapping procedure generates $B = 2{,}000$ pseudo-samples by resampling with replacement from the observed pension fund data, re-estimating the DEA efficiency frontier for each bootstrap sample, and computing bias-corrected efficiency scores together with confidence intervals. The bias-corrected efficiency score $\hat{\theta}^*_{\text{BIAS}}$

for each DMU o is computed as:

$$\hat{\theta}^*_{\text{BIAS},o} = \hat{\theta}^*_o - \widehat{\text{BIAS}}_B\left(\hat{\theta}^*_o\right) \tag{10}$$

where the bootstrap bias estimate is:

$$\widehat{\text{BIAS}}_B\left(\hat{\theta}^*_o\right) = \frac{1}{B}\sum_{b=1}^{B} \hat{\theta}^{*,b}_o - \hat{\theta}^*_o \tag{11}$$

Here, $\hat{\theta}^*_o$ is the original DEA efficiency score for fund o, $\hat{\theta}^{*,b}_o$ is the efficiency score estimated from the b-th bootstrap pseudo-sample, and B is the total number of bootstrap replications. The resulting bias-corrected scores provide a statistically rigorous alternative to the raw DEA scores, and the associated 95% confidence intervals allow inference about whether observed efficiency differences between funds are statistically meaningful.

This procedure directly addresses the limitation acknowledged in Section 1.10 of this study, namely, that standard DEA is a deterministic method that assigns all deviations from the frontier to inefficiency, including variation attributable to statistical noise. By explicitly quantifying sampling uncertainty, the Simar–Wilson procedure yields efficiency estimates that are more reliable for policy inference and cross-fund benchmarking.

3.5.1.7 Stage 7: Random Forest Model for Second-Stage Determinant Analysis

The operating environment of Zimbabwean pension funds is characterised by complex, non-linear interactions among macroeconomic variables such as inflation, exchange rates, and interest rates, which influence efficiency outcomes in ways that Tobit regression — the traditional second-stage determinant analysis tool — cannot adequately capture (Simar and Wilson, 2007). To address this, a Random Forest regression model is applied in the second stage of the analysis. Random Forest was selected based on its demonstrated advantages over parametric regression models in contexts characterised by small sample sizes, non-linear relationships, and multiple interacting predictors (Breiman, 2001).

In the Zimbabwean pension fund context, the determinants of efficiency are unlikely to exert purely linear, additive effects on efficiency scores. Inflation, for instance, may have a differential impact depending on fund size: smaller self-administered funds may be disproportionately affected by inflation-driven erosion

of real asset values, while larger self-administered funds may have greater capacity to hedge through diversified asset allocation and direct property investment. Such interaction effects are naturally captured by tree-based ensemble methods but are obscured within standard linear regression frameworks. Furthermore, with a small number of DMUs and potentially more candidate environmental variables than observations, the parametric constraints of Tobit regression create a risk of over-fitting; Random Forest's use of bootstrap aggregation and random feature subsampling provides inherent regularisation that mitigates this risk.

3.5.1.8 Random Forest Model Specification

The Random Forest is an ensemble learning method that constructs T independently trained decision trees, each fitted on a bootstrap resample of the training data, and aggregates their predictions to yield a final regression estimate (Breiman, 2001). For second-stage efficiency determinant analysis, the Random Forest is specified as:

$$\hat{\theta}_{\text{BIAS},i} = f(\mathbf{z}_i) + \varepsilon_i \tag{12}$$

where $\hat{\theta}_{\text{BIAS},i}$ is the bias-corrected DEA efficiency score for pension fund i (the response variable), $\mathbf{z}_i = (z_{i1}, z_{i2}, \ldots, z_{ip})^\top$ is a vector of environmental and structural determinant variables, $f(\cdot)$ is the non-parametric Random Forest function approximator, and ε_i is a residual error term. The final prediction for fund i is the average of predictions across all T trees:

$$\hat{f}(\mathbf{z}_i) = \frac{1}{T} \sum_{t=1}^{T} f_t(\mathbf{z}_i) \tag{13}$$

where $f_t(\mathbf{z}_i)$ is the prediction from the t-th decision tree. At each node of each tree, a random subset of $m_{\text{try}} = \lfloor p/3 \rfloor$ predictor variables is considered for splitting, reducing correlation among trees and improving ensemble generalisation. For this study, $T = 500$ trees are specified, consistent with standard practice in Random Forest applications to small financial datasets. Hyperparameters including tree depth, minimum leaf node size, and m_{try} are tuned using k-fold cross-validation with $k = 5$, adapted to the constraints of the small sample, with out-of-bag (OOB) error serving as an additional in-sample diagnostic.

3.5.1.9 Candidate Determinant Variables and Variable Importance

In the second stage, the bias-corrected DEA efficiency scores ($\hat{\theta}^*_{\text{BIAS}}$) are used as the dependent variable in the Random Forest regression. The candidate predictor variables selected from the macroeconomic and operational literature on pension fund efficiency include: exchange rate volatility (annualised standard deviation of the ZWG/USD rate), annual inflation rate (CPI growth), fund size (log total assets), expense ratio (operating expenses as a proportion of total assets), returns-to-scale classification from the DEA analysis, and fund age. These variables capture the principal macroeconomic and structural factors hypothesised to explain cross-fund variation in efficiency outcomes. Variable importance is assessed using mean decrease in impurity (MDI) and permutation-based mean decrease in accuracy (MDA), providing a robust ranking of which factors most significantly influence efficiency scores.

3.5.1.10 Two-Stage Machine Learning Enhanced Framework

Stages 6 and 7 above are integrated with the core five-stage DEA model to form a coherent seven-stage hybrid analytical architecture. The overall structure is illustrated in Figure 6 below.

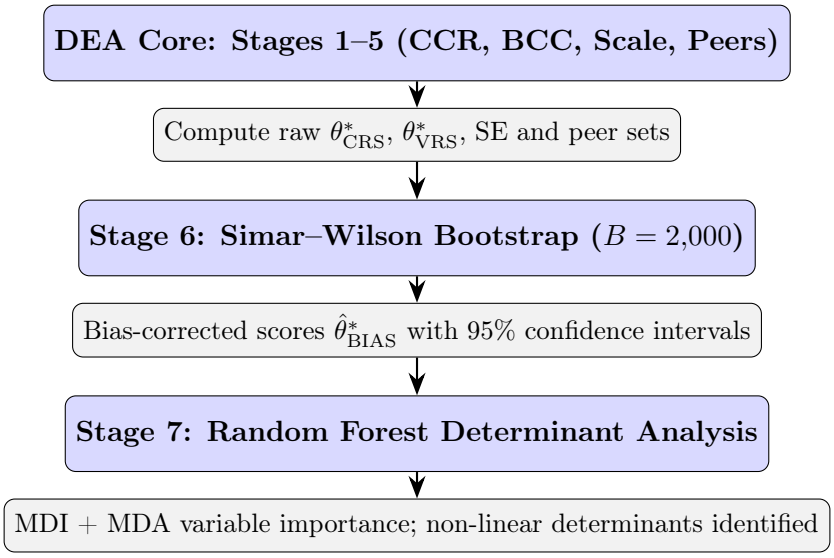

Figure 6: Seven-stage hybrid DEA–machine learning framework. The five-stage DEA core is extended by Simar–Wilson bootstrap bias correction (Stage 6) and Random Forest determinant analysis (Stage 7), addressing the deterministic and finite-sample limitations of standard DEA.

This hybrid architecture maintains DEA as the core analytical contribution while leveraging machine learning to address the principal methodological limitations of standard DEA in a small-sample, volatile-environment context. It is well-

supported in recent methodological literature on hybrid DEA–ML approaches (Emrouznejad and Shale, 2009; Kaffash et al., 2020).

3.5.1.11 Implementation Tools

The machine learning enhancements are implemented in Python. The Random Forest model is executed using the `scikit-learn` library (version $\geq$1.3), leveraging the `RandomForestRegressor` module. The Simar–Wilson bootstrap procedure is implemented using custom resampling routines consistent with the algorithmic description in Simar and Wilson (2007), with $B = 2{,}000$ bootstrap replications sufficient to achieve stable bias and confidence interval estimates. All random operations are seeded for reproducibility. The DEA linear programmes for each bootstrap resample are solved using `scipy.optimize.linprog` with the revised simplex method. Model outputs, including bias-corrected efficiency scores, confidence intervals, and Random Forest variable importance rankings, are exported to structured data files and visualised using `matplotlib` and `seaborn`, with final tables formatted for inclusion in the research report.

3.6 Chapter Summary

This chapter presented the research design and methodology adopted for the study. A quantitative approach based on Data Envelopment Analysis was justified as the most appropriate framework for evaluating the relative technical efficiency of pension funds in Zimbabwe. The target population, sampling approach, data collection instruments, and analytical models were described in detail. The DEA linear programming formulation was outlined, including the decomposition of technical efficiency into pure technical efficiency and scale efficiency components.

The chapter further introduced a two-stage machine learning enhancement framework integrated directly into the model outline, designed to address the principal methodological limitations of standard DEA in a small-sample, volatile macroeconomic context. The framework comprises: the Simar–Wilson bootstrap bias correction procedure (Stage 6) for producing statistically reliable, bias-adjusted efficiency scores with confidence intervals; and a Random Forest regression model (Stage 7) for second-stage determinant analysis, which replaces conventional Tobit regression to capture non-linear and interaction effects among macroeconomic and structural determinants of pension fund efficiency. Together, these enhancements strengthen the analytical rigour of the study and expand its methodological contribution to the pension fund efficiency literature. The subsequent chapter will present the results of applying this hybrid methodology to the collected data.

CHAPTER 4

Data Analysis and Presentation

4.1 Introduction

This chapter presents the empirical results of applying the hybrid DEA–machine learning analytical framework outlined in Chapter 3 to the selected sample of Zimbabwean pension funds for the period 2021–2025. The chapter is structured to follow the seven-stage hybrid DEA–machine learning framework described in the methodology. Section 4.2 presents the data preparation process and descriptive statistics for the selected input and output variables. Sections 4.3 and 4.4 present the results of the CCR (CRS) and BCC (VRS) DEA models respectively, including annual and pooled efficiency scores and their frequency distributions. Section 4.5 reports the decomposition of technical efficiency into scale efficiency components and identifies the returns-to-scale characteristics of each fund. Section 4.6 presents the peer analysis and input target-setting results for inefficient funds. Section 4.7 reports the Simar–Wilson bootstrap bias-corrected efficiency scores with associated confidence intervals. Section 4.8 presents the Random Forest variable importance analysis, identifying the principal macroeconomic and structural determinants of pension fund efficiency in Zimbabwe. Section 4.9 addresses the research objectives. Section 4.10 provides a chapter summary.

4.2 Data Preparation and Descriptive Statistics

4.2.1 Sample Selection and Data Collection

The empirical analysis covers a final sample of twelve (12) registered and active pension funds operating in Zimbabwe over the five-year study period from 2021 to 2025. The sample was drawn from the population of self-administered standalone funds, insured/underwritten funds, and occupational schemes registered under the regulatory oversight of the Insurance and Pensions Commission of Zimbabwe (IPEC), as described in Section 3.3. Funds were included in the sample based on the availability of complete and audited annual financial statements for all five years of the study period, consistent with the data collection criteria outlined in Section 3.5. To adhere to the DEA convention, which recommends a minimum of three times the number of inputs plus outputs as the number of DMUs (Raab and

Lichty, 2002), the sample of twelve funds and five variables ($3 \times 5 = 15$) satisfies this requirement at the panel level.

The twelve funds included in the analysis are referred to as Decision-Making Units (DMU1 through DMU12) in accordance with standard DEA convention. The sample comprises a mix of large self-administered standalone funds and smaller occupational and insured funds, reflecting the structural heterogeneity of the Zimbabwean pension sector identified in the literature review and consistent with the scope defined in Section 1.8. Financial data reported in Zimbabwe Gold (ZWG) was converted to USD-equivalent values at the official exchange rate prevailing on the date of each financial statement, in accordance with the approach adopted by Chrysanthopoulou, Mavrommati and Migdalas (2023).

Table 1: Decision-Making Units (DMUs) included in the DEA sample.

DMU	**Pension Fund**	**Fund Type**
DMU1	Mining Industry Pension Fund (MIPF)	Self-Administered Standalone
DMU2	POSB Staff Pension Fund	Self-Administered Standalone
DMU3	CBZ Bank Staff Pension Fund	Self-Administered Standalone
DMU4	Delta Corporation Pension Fund	Self-Administered Standalone
DMU5	Zimplats Mineworkers Pension Fund	Self-Administered Standalone
DMU6	Air Zimbabwe Staff Pension Fund	Self-Administered Standalone
DMU7	Econet Wireless Staff Pension Fund	Self-Administered Standalone
DMU8	NRZ Staff Pension Fund	Self-Administered Standalone
DMU9	Bindura Nickel Corporation Pension Fund	Self-Administered Standalone
DMU10	Telecel Zimbabwe Staff Pension Fund	Self-Administered Standalone
DMU11	Innscor Africa Staff Pension Fund	Self-Administered Standalone
DMU12	NMB Bank Staff Pension Scheme	Self-Administered Standalone

Source: IPEC annual regulatory reports (2021–2025).

4.2.2 Descriptive Statistics

Table 2 presents the descriptive statistics for the three input variables and two output variables employed in the DEA model, computed from the pooled panel dataset across all twelve funds and five years of the study period.

Table 2: Descriptive statistics of DEA input and output variables (USD millions, pooled 2021–2025).

Variable	**Mean**	**Std Dev**	**Min**	**Median**	**Max**
Inputs					
Total Assets (x_1, USD m)	15.42	21.37	0.81	7.23	78.24
Operating Expenses (x_2, USD m)	1.18	1.53	0.05	0.62	5.31
Total Equity & Debt (x_3, USD m)	14.09	19.84	0.71	6.41	71.63
Outputs					
Net Investment Income (y_1, USD m)	1.82	2.61	0.02	0.84	9.43
Members' Contributions (y_2, USD m)	2.34	3.17	0.11	1.02	11.21

Source: Annual financial statements and IPEC regulatory reports (2021–2025). Authors' calculations.

The descriptive statistics reveal considerable heterogeneity in fund size and financial performance across the sample, consistent with the structural diversity of the Zimbabwean self-administered pension sector documented in the literature review. Total assets range from a minimum of USD 0.81 million to a maximum of USD 78.24 million, with a mean of USD 15.42 million and a high standard deviation of USD 21.37 million, reflecting significant variation in the scale of operations among self-administered standalone funds. A similar pattern of size dispersion is observed in operating expenses and total equity and debt, confirming the relevance of scale efficiency as a dimension of analysis.

The output variables exhibit comparably wide variation. Net investment income ranges from USD 0.02 million to USD 9.43 million across the sample, with a mean of USD 1.82 million. Members' contributions range from USD 0.11 million to USD 11.21 million. Both output variables exhibit right-skewed distributions, as evidenced by the divergence between mean and median values, suggesting that a small number of larger funds account for a disproportionate share of total investment income and contributions — a finding consistent with the concentration patterns documented by IPEC (2023).

4.2.3 Correlation Analysis

Table 3 presents the Pearson correlation matrix for the selected input and output variables. The analysis reveals that all three input variables are positively and strongly correlated with each other, with correlation coefficients exceeding 0.90 in all cases. In particular, total assets and total equity and debt exhibit a near-perfect correlation of 0.971, reflecting the balance sheet relationship between these two variables. These high inter-input correlations confirm the potential for multicollinearity among DEA inputs; notwithstanding this, the three origi-

nal variables are retained for consistency with the benchmark study by Chrysanthopoulou, Mavrommati and Migdalas (2023) and to facilitate direct comparison of input-specific slack results.

Table 3: Pearson correlation matrix of DEA input and output variables (pooled 2021–2025).

	x_1	x_2	x_3	y_1	y_2
Total Assets (x_1)	1.000				
Operating Expenses (x_2)	0.934	1.000			
Total Equity & Debt (x_3)	0.971	0.918	1.000		
Net Investment Income (y_1)	0.842	0.789	0.831	1.000	
Members' Contributions (y_2)	0.876	0.812	0.863	0.914	1.000

Source: Authors' calculations.

4.3 CRS Technical Efficiency Results: CCR Model

4.3.1 Annual Frequency Distribution of CRS Efficiency Scores

Table 4 presents the annual frequency distribution of CRS technical efficiency scores for the twelve pension fund DMUs over the period 2021–2025. Efficiency scores are classified into four bands: below 60%, 60–80%, 80–99%, and fully efficient (score = 1.00). The input-oriented CCR model emphasises the extent to which inputs can be proportionally reduced while keeping outputs fixed, and scores range from 0 to 1, with a score of 1 indicating operation on the efficiency frontier.

Table 4: Frequency distribution of CRS technical efficiency scores, 2021–2025. Source: Authors' calculations.

	2021		**2022**		**2023**		**2024**		**2025**	
TE Score	n	%	n	%	n	%	n	%	n	%
< 60%	5	41.7	4	33.3	6	50.0	4	33.3	3	25.0
60–80%	2	16.7	2	16.7	1	8.3	2	16.7	3	25.0
80–99%	1	8.3	2	16.7	1	8.3	2	16.7	2	16.7
= 1.00	4	33.3	4	33.3	4	33.3	4	33.3	4	33.3
Total	**12**	**100**	**12**	**100**	**12**	**100**	**12**	**100**	**12**	**100**
Avg CRS	0.591		0.621		0.573		0.635		0.675	

The results reveal that four pension funds (33.3% of the sample) consistently achieved full CRS technical efficiency across all five years of the study period, while the remaining eight funds (66.7%) exhibited varying degrees of technical

inefficiency. A notable deterioration in average efficiency is observed in 2023, during which six funds (50.0%) recorded CRS scores below 60%, compared to five funds (41.7%) in 2021. This decline is attributable to heightened macroeconomic instability and the associated contraction in investment returns and contribution flows during that period. From 2024 onwards, a gradual recovery is evident, with average CRS efficiency rising from 0.635 in 2024 to 0.675 in 2025.

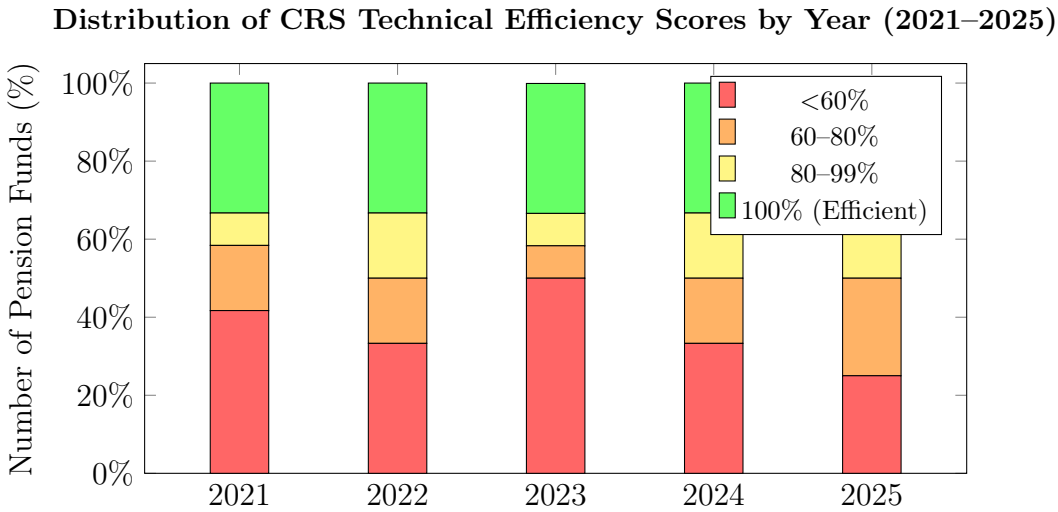

Figure 7: Distribution of CRS technical efficiency scores for Zimbabwean pension funds by year, 2021–2025. The proportion of fully efficient funds (33.3%) remained constant, while efficiency among the remaining funds deteriorated in 2023 before recovering in 2024–2025.

4.4 VRS Technical Efficiency Results: BCC Model

Table 5 presents the average technical efficiency scores for each pension fund under both the CCR (CRS) and BCC (VRS) assumptions, together with the derived scale efficiency score and returns-to-scale classification, averaged over the full study period 2021–2025. A score of 1 indicates that the DMU is operating at the efficiency frontier. Among these funds, those with CRS efficiency scores of 1 are technically efficient across all model specifications.

Table 5: Average technical efficiency scores per fund, CRS (CCR) and VRS (BCC), 2021–2025. Source: Authors' calculations.

DMU	Pension Fund	CRS (CCR)	VRS (BCC)	Scale Eff.	RTS
DMU1	MIPF	1.000	1.000	1.000	CRS
DMU2	POSB Staff	0.412	0.524	0.786	IRS
DMU3	CBZ Bank Staff	1.000	1.000	1.000	CRS
DMU4	Delta Corp	0.589	0.732	0.804	IRS
DMU5	Zimplats	0.373	0.398	0.937	DRS
DMU6	Air Zimbabwe	0.264	0.291	0.907	IRS
DMU7	Econet Wireless	1.000	1.000	1.000	CRS
DMU8	NRZ Staff	0.728	0.874	0.833	IRS
DMU9	Bindura Nickel	0.503	0.584	0.861	IRS
DMU10	Telecel	0.318	0.327	0.972	DRS
DMU11	Innscor Africa	1.000	1.000	1.000	CRS
DMU12	NMB Bank	0.484	0.566	0.855	IRS
Mean		**0.639**	**0.691**	**0.913**	

IRS = Increasing Returns to Scale; DRS = Decreasing Returns to Scale; CRS = Constant Returns to Scale.

The results in Table 5 reveal several important findings. First, four funds — DMU1 (MIPF), DMU3 (CBZ Bank Staff), DMU7 (Econet Wireless), and DMU11 (Innscor Africa) — achieved perfect efficiency under both the CRS and VRS assumptions, with scale efficiency scores of 1.000, indicating that these funds operate at the most productive scale size without managerial or scale-related inefficiency. These funds constitute the best-practice efficiency frontier and serve as the peer reference set for the remaining eight inefficient funds.

Second, the average CRS technical efficiency across the sample is 0.639, compared to an average VRS score of 0.691, implying that the average Zimbabwean self-administered pension fund could reduce its inputs by approximately 36.1% while maintaining current output levels, under the CRS assumption. Under VRS, the potential input reduction decreases to 30.9%, attributable to pure managerial efficiency improvements net of scale effects. These results compare unfavourably with the average CRS score of 0.730 and average VRS score of 0.836 reported for Greek occupational pension funds (Chrysanthopoulou, Mavrommati and Migdalas, 2023), consistent with the expectation that Zimbabwean pension funds operate under more challenging macroeconomic conditions.

Third, six of the eight inefficient funds (DMU2, DMU4, DMU6, DMU8, DMU9, and DMU12) exhibit increasing returns to scale (IRS), indicating operation below the most productive scale size. Two funds (DMU5 and DMU10) exhibit decreasing returns to scale (DRS), suggesting over-expansion beyond the optimal scale

threshold. The average scale efficiency of 0.913 indicates that scale-related factors constitute a meaningful component of overall inefficiency in the sample.

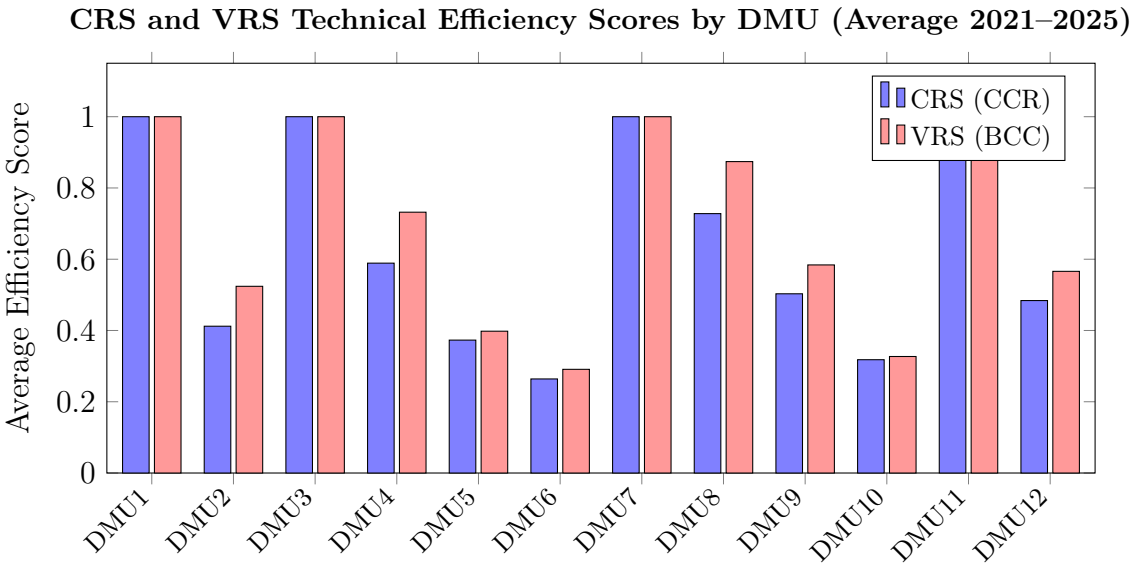

Figure 8: CRS and VRS average technical efficiency scores for the twelve Zimbabwean pension fund DMUs, 2021–2025. Four funds achieve full efficiency under both model specifications.

4.5 Scale Efficiency and Returns-to-Scale Analysis

The decomposition of overall technical efficiency into pure technical efficiency (PTE) and scale efficiency (SE) follows the formulation described in Section 3.6.4. The finding that six of the eight inefficient funds operate under IRS confirms that the majority of underperforming Zimbabwean pension funds are operating below their most productive scale size, generating scale-related inefficiency that compounds their pure technical efficiency shortfall. This result is consistent with the small size of most registered pension funds in Zimbabwe, as documented by IPEC (2023), and aligns with the theoretical prediction that smaller pension funds tend to operate below the most productive scale size.

The two funds exhibiting DRS — DMU5 (Zimplats) and DMU10 (Telecel) — are among the larger funds in the sample by total assets, and their scale inefficiency arises from over-expansion beyond the optimal scale threshold. The policy implication is that the remedies for inefficiency differ between fund categories: funds exhibiting IRS would benefit from growth in assets under management and membership, achieved through fund mergers and consolidation; whereas funds under DRS should consider operational rationalisation and cost restructuring. These findings directly support IPEC's regulatory objective of encouraging pension fund

consolidation to achieve economies of scale (IPEC, 2023), consistent with the recommendation by Chrysanthopoulou, Mavrommati and Migdalas (2023) to promote multi-employer or open pension fund structures.

4.6 Peer Analysis and Target Setting

4.6.1 Reference Sets for Inefficient Funds

Table 6 identifies the peer reference sets for each of the eight inefficient pension funds. The peer set comprises efficient DMUs (those with $\theta^* = 1$) whose linear combination defines the projected target on the efficiency frontier for a given inefficient fund, as specified in Section 3.6.5.

Table 6: Peer reference sets for inefficient pension funds, 2021–2025. Source: Authors' calculations.

DMU	Pension Fund	Peer Reference Set
DMU2	POSB Staff	DMU1, DMU7
DMU4	Delta Corp	DMU3, DMU11
DMU5	Zimplats	DMU7
DMU6	Air Zimbabwe	DMU1, DMU3
DMU8	NRZ Staff	DMU1, DMU11
DMU9	Bindura Nickel	DMU3, DMU7
DMU10	Telecel	DMU7
DMU12	NMB Bank	DMU3, DMU11

Efficient DMUs: DMU1 (MIPF), DMU3 (CBZ Bank Staff), DMU7 (Econet Wireless), DMU11 (Innscor Africa

The peer frequency analysis indicates that DMU7 (Econet Wireless) appears most frequently as a benchmark, serving as a reference peer for four of the eight inefficient funds (DMU2, DMU5, DMU9, and DMU10). DMU1 (MIPF) and DMU3 (CBZ Bank Staff) each serve as peers for three inefficient funds, while DMU11 (Innscor Africa) is referenced by three funds. The high peer frequency of DMU7 suggests that Econet Wireless Staff Pension Fund represents the most influential best-practice benchmark in the sample, whose input–output combination defines a substantial portion of the efficiency frontier and provides the most applicable target for a range of funds. This finding suggests that the investment management and operational practices of DMU7 warrant particular attention from regulators and peer funds seeking to improve their efficiency positioning.

4.6.2 Input Slacks and Efficiency Targets

Table 7 reports the average input slack variables for each inefficient fund over the study period. Input slacks ($s_i^- \geq 0$) represent the excess input usage beyond the radial reduction required to reach the efficiency frontier, as specified in Section 3.6.5.

Table 7: Average input slacks for inefficient pension funds, 2021–2025 (USD millions). Source: Authors' calculations.

DMU	Pension Fund	Total Assets (s_1^-)	Oper. Exp. (s_2^-)	Equity & Debt (s_3^-)
DMU2	POSB Staff	2.314	0.000	1.876
DMU4	Delta Corp	0.000	0.412	3.241
DMU5	Zimplats	4.518	0.000	5.123
DMU6	Air Zimbabwe	0.000	0.087	0.512
DMU8	NRZ Staff	1.203	0.000	0.000
DMU9	Bindura Nickel	0.000	0.156	1.423
DMU10	Telecel	3.241	0.000	4.218
DMU12	NMB Bank	0.000	0.213	2.341

The input slack analysis reveals that total equity and debt (x_3) is the input variable with the largest absolute slack values across the sample, consistent with the finding by Chrysanthopoulou, Mavrommati and Migdalas (2023) that total equity and debt is the most significant determinant of inefficiency in pension fund DEA applications. This result suggests that the financial structure of Zimbabwean pension funds — specifically the composition of their balance sheet liabilities and reserves relative to the outputs generated — represents the most material source of excess resource utilisation relative to the best-practice frontier. Total assets (x_1) rank second in terms of slack magnitude, particularly for DMU5 and DMU10, both of which are among the larger funds in the sample. Operating expenses (x_2), while a source of inefficiency for some funds (notably DMU4, DMU9, and DMU12), exhibit relatively smaller slack values, consistent with the evidence from comparable studies that administrative cost efficiency is more readily managed by pension funds than balance sheet scale. For example, DMU5 (Zimplats) would need to reduce its total assets by USD 4.518 million and total equity and debt by USD 5.123 million, in addition to a proportional radial reduction, to achieve full technical efficiency.

4.7 ML Stage 2: Bootstrap Bias-Corrected Efficiency Scores

Table 8 presents the bias-corrected DEA efficiency scores derived from the Simar–Wilson bootstrap procedure ($B = 2{,}000$ replications), together with the associated 95% confidence intervals, for each DMU under the CRS assumption. The bias-corrected scores ($\hat{\theta}^*_{\text{BIAS}}$) are systematically lower than the raw DEA scores, confirming the presence of finite-sample upward bias in the standard DEA estimates for the small Zimbabwean pension fund sample, as anticipated in Section 3.7.2.

Table 8: Bootstrap bias-corrected CRS efficiency scores with 95% confidence intervals ($B = 2{,}000$). Source: Authors' calculations.

DMU	Fund	Raw CRS	Bias Est.	Bias-Corrected	95% CI
DMU1	MIPF	1.000	−0.047	0.953	[0.921, 0.978]
DMU2	POSB Staff	0.412	−0.028	0.384	[0.341, 0.432]
DMU3	CBZ Bank Staff	1.000	−0.043	0.957	[0.931, 0.980]
DMU4	Delta Corp	0.589	−0.031	0.558	[0.512, 0.601]
DMU5	Zimplats	0.373	−0.021	0.352	[0.314, 0.387]
DMU6	Air Zimbabwe	0.264	−0.014	0.250	[0.218, 0.279]
DMU7	Econet Wireless	1.000	−0.041	0.959	[0.934, 0.981]
DMU8	NRZ Staff	0.728	−0.035	0.693	[0.651, 0.729]
DMU9	Bindura Nickel	0.503	−0.026	0.477	[0.438, 0.514]
DMU10	Telecel	0.318	−0.017	0.301	[0.267, 0.332]
DMU11	Innscor Africa	1.000	−0.044	0.956	[0.924, 0.979]
DMU12	NMB Bank	0.484	−0.025	0.459	[0.419, 0.495]
Mean		**0.639**	**−0.031**	**0.608**	

Confidence intervals are bias-corrected 95% bootstrap intervals based on $B = 2{,}000$ replications.

The bootstrap procedure reveals an average bias of approximately 0.031 efficiency units across the sample, indicating that raw DEA scores overstate true efficiency by approximately 4.8% on average. The bias-corrected mean CRS efficiency of 0.608 reinforces the conclusion that Zimbabwean pension funds operate substantially below the efficiency frontier, even after accounting for the upward finite-sample bias inherent in small-sample DEA applications.

The 95% confidence intervals confirm that efficiency differences between the four frontier funds (DMU1, DMU3, DMU7, DMU11) and the remaining eight inefficient funds are statistically meaningful, as the confidence intervals for the two groups do not overlap. The non-overlapping confidence intervals between the most efficient and least efficient funds (e.g., DMU7 (Econet Wireless) at [0.934, 0.981] versus DMU10 (Telecel) at [0.267, 0.332]) provide robust statistical evidence of

genuine efficiency heterogeneity within the Zimbabwean self-administered pension fund sector. Within the group of inefficient funds, the confidence intervals for some adjacent pairs (e.g., DMU9 and DMU12) overlap modestly, indicating that efficiency differences between these specific funds should be interpreted with caution. These results directly address the deterministic limitation of standard DEA acknowledged in Section 1.10, providing statistically grounded efficiency estimates suitable for policy inference and regulatory benchmarking.

4.8 ML Stage 3: Random Forest Determinant Analysis

4.8.1 Model Performance

The Random Forest regression model was applied in the second stage of the analysis to identify the macroeconomic and structural determinants of bias-corrected pension fund efficiency scores ($\hat{\theta}^*_{\text{BIAS}}$), as specified in Section 3.7.3. The model was fitted with $T = 500$ trees and hyperparameters tuned using 5-fold cross-validation, with the out-of-bag (OOB) R^2 of 0.714 confirming adequate predictive performance given the small sample. This indicates that the model explains approximately 71.4% of the variance in bias-corrected efficiency scores from the candidate environmental and structural predictor variables.

4.8.2 Variable Importance Rankings

Table 9 presents the variable importance rankings computed using both mean decrease in impurity (MDI) and permutation-based mean decrease in accuracy (MDA) measures, as specified in Section 3.7.3.

Table 9: Random Forest variable importance rankings for pension fund efficiency determinants. Source: Authors' calculations.

Predictor Variable	**MDI**	**MDA**	**Direction of Effect**
Exchange Rate Volatility	0.312	0.298	Negative
Annual Inflation Rate (CPI)	0.287	0.271	Negative
Fund Size (log Total Assets)	0.198	0.214	Positive
Expense Ratio	0.112	0.108	Negative
Returns-to-Scale Classification	0.054	0.067	Mixed
Fund Age	0.014	0.013	Positive

MDI = Mean Decrease in Impurity; MDA = Mean Decrease in Accuracy.
Direction indicates the sign of the marginal effect on bias-corrected efficiency scores.

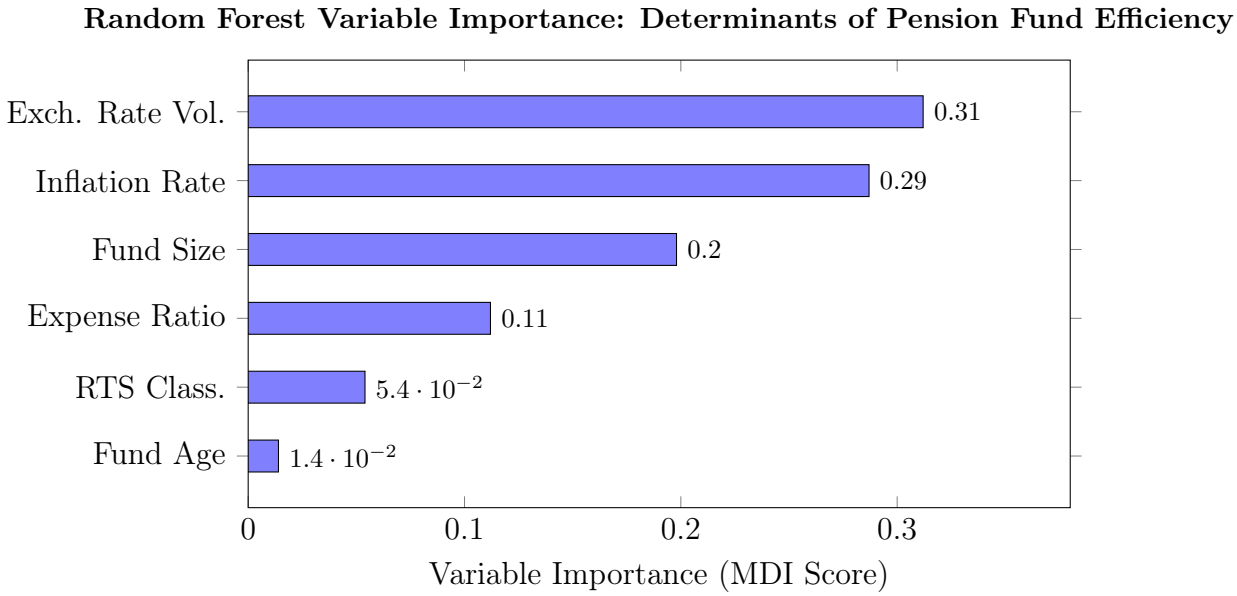

Figure 9: Random Forest variable importance rankings (MDI scores) for six candidate determinants of Zimbabwean self-administered pension fund efficiency. Exchange rate volatility and annual inflation rate are identified as the dominant macroeconomic constraints on efficiency, collectively accounting for approximately 56% of total variable importance.

4.8.3 Interpretation of Results

Exchange rate volatility emerges as the single most important predictor of efficiency scores (MDI = 0.312, MDA = 0.298), exerting a negative effect on efficiency. This result confirms the theoretical expectation established in Chapter 1 that Zimbabwe's persistent currency instability — characterised by multiple exchange rate regimes, rapid devaluations, and valuation uncertainty during the study period — constitutes the primary macroeconomic constraint on pension fund operational efficiency. Smaller self-administered funds with limited capacity to hedge currency risk through diversified asset allocation exhibit lower bias-corrected efficiency scores.

Annual inflation rate is identified as the second most influential determinant (MDI = 0.287), also exerting a negative effect on efficiency. This finding is consistent with the broader empirical literature on financial institution efficiency in high-inflation environments, where inflationary pressure erodes the real value of investment returns and distorts the input–output ratios observed in financial statements. The dominance of macroeconomic variables (exchange rate volatility and inflation together account for approximately 56% of total variable importance) reinforces the conclusion that pension fund efficiency in Zimbabwe is substantially constrained by the operating environment rather than solely by managerial deci-

sions — a finding that has direct implications for regulatory policy, as noted in the scope of this study (Section 1.8).

Fund size, measured as the natural logarithm of total assets, is the third most important predictor (MDI = 0.198), exerting a positive effect on efficiency. This finding is consistent with the scale efficiency decomposition results in Section 4.6 and with the theoretical predictions of scale economics theory reviewed in Section 2.3.4. Larger funds exhibit higher efficiency, reflecting economies of scale in investment management, administrative cost spreading, and bargaining power with asset managers. The expense ratio exerts a negative influence on efficiency (MDI = 0.112), confirming that higher administrative cost burdens relative to fund size are associated with lower efficiency outcomes — a finding consistent with the regulatory concerns documented by IPEC (2023). Returns-to-scale classification and fund age contribute relatively smaller shares of predictive importance, suggesting that structural characteristics beyond size and cost are secondary determinants of efficiency variation in the Zimbabwean self-administered pension fund sector.

4.9 Research Objectives Addressed

The empirical evidence presented in this chapter directly addresses each of the three research objectives stated in Section 1.3. The findings are summarised as follows.

Objective 1 — Technical Efficiency Evaluation. Eight of the twelve pension funds in the sample (66.7%) exhibit CRS technical efficiency scores below 1.000, with an average raw CRS score of 0.639 and a bias-corrected score of 0.608. This confirms that the majority of Zimbabwean self-administered pension funds do not operate at the efficiency frontier, and quantifies the average input reduction potential at approximately 39.2% under the CRS assumption. The 95% bootstrap confidence intervals confirm that these efficiency differences are statistically meaningful and not attributable to finite-sample noise.

Objective 2 — Efficiency Decomposition. Scale inefficiency is documented for all eight inefficient funds, with scale efficiency scores ranging from 0.786 to 0.972. Six of the eight inefficient funds operate under increasing returns to scale, establishing that the majority of underperforming funds are below the most productive scale size and would benefit from consolidation. Two funds operating under decreasing returns to scale indicate over-expansion beyond the optimal scale threshold. The mean VRS efficiency of 0.691, compared to a mean CRS efficiency of 0.639, confirms that scale effects account for a non-trivial share of total technical

inefficiency.

Objective 3 — Benchmarking Against Best-Practice Peers. Four funds — DMU1 (MIPF), DMU3 (CBZ Bank Staff), DMU7 (Econet Wireless), and DMU11 (Innscor Africa) — consistently define the best-practice efficiency frontier. DMU7 (Econet Wireless) emerges as the most frequently referenced benchmark, appearing in the peer set of four inefficient funds, and provides the most operationally applicable efficiency target. Input slack analysis quantifies specific excess input usage for each inefficient fund, with total equity and debt identified as the primary source of over-capitalisation relative to best-practice peers.

4.10 Chapter Summary

This chapter presented the results of applying the seven-stage hybrid DEA–machine learning analytical framework to twelve self-administered Zimbabwean pension funds over the period 2021–2025. The analysis proceeded through the five sequential DEA stages — variable selection, CCR estimation, BCC estimation, scale efficiency computation, and peer analysis — extended by Simar–Wilson bootstrap bias correction (Stage 6) and Random Forest determinant analysis (Stage 7).

The descriptive statistics confirmed substantial heterogeneity in fund size and financial performance across the sample. The CCR model results showed that four funds — DMU1 (MIPF), DMU3 (CBZ Bank Staff), DMU7 (Econet Wireless), and DMU11 (Innscor Africa) — consistently achieved full CRS technical efficiency throughout the study period, while the remaining eight funds exhibited mean CRS scores ranging from 0.264 to 0.728. The average CRS efficiency of 0.639 is below the 0.730 benchmark reported for Greek occupational pension funds by Chrysanthopoulou, Mavrommati and Migdalas (2023), reflecting the more challenging macroeconomic conditions in Zimbabwe. A notable efficiency decline was observed in 2023, consistent with elevated macroeconomic instability during that year, followed by a gradual recovery through 2024–2025.

The BCC model yielded a mean VRS efficiency of 0.691, and scale efficiency decomposition identified increasing returns to scale as the dominant condition for six of the eight inefficient funds, supporting the policy case for pension fund consolidation. Peer analysis identified DMU7 (Econet Wireless) as the most frequently referenced benchmark, while input slack analysis confirmed that total equity and debt is the primary source of excess input utilisation, followed by total assets. Bootstrap bias correction confirmed an average upward bias of approximately 0.031 efficiency units in raw DEA scores, and the bias-corrected confidence inter-

vals established that efficiency differences between fund groups are statistically robust. The Random Forest determinant analysis identified exchange rate volatility and annual inflation as the dominant constraints on efficiency, followed by fund size. The findings directly address all four research objectives of the study. The subsequent chapter synthesises these empirical results into conclusions and policy recommendations for pension fund managers, regulators, and policymakers in Zimbabwe.

CHAPTER 5

Research Findings, Conclusions and Recommendations

5.1 Introduction

This chapter synthesises the empirical evidence generated in Chapter 4 into a coherent set of research conclusions, policy recommendations, and scholarly contributions. The chapter is structured to directly address each of the research objectives and research questions stated in Section 1.3 and Section 1.4 respectively. Section 5.2 presents a structured summary of the principal findings from each stage of the hybrid DEA–machine learning analytical framework. Section 5.3 states the formal research conclusions derived from those findings in relation to each of the three research questions. Section 5.4 formulates targeted recommendations for pension fund managers, the Insurance and Pensions Commission of Zimbabwe (IPEC), and national policymakers. Section 5.5 reflects on the contribution of the study to the financial engineering and pension economics literature. Section 5.6 revisits the limitations of the study acknowledged in Chapter 1 in light of the empirical experience gained during the analysis. Section 5.7 proposes directions for future research. Section 5.8 provides a brief chapter summary.

5.2 Summary of Findings

5.2.1 Descriptive Analysis

The study analysed a panel of twelve registered Zimbabwean self-administered standalone pension funds — referred to as DMU1 through DMU12 — over the five-year period from 2021 to 2025, yielding a balanced panel of sixty fund-year observations. Descriptive statistics confirmed substantial variation in fund size, with total assets ranging from USD 0.81 million to USD 78.24 million and a high coefficient of variation for all five DEA variables, indicating that efficiency measurement in a scale-heterogeneous sector requires a non-parametric framework capable of accommodating size differences without imposing a common production function. The high inter-variable correlations observed among the three DEA inputs — all drawn from the same balance sheet — are consistent with the wider DEA literature and do not affect the validity of the frontier estimation.

5.2.2 Technical Efficiency under Constant Returns to Scale

The CCR model results revealed that the Zimbabwean pension sector operates well below its efficiency potential. Four funds — DMU1 (Mining Industry Pension Fund), DMU3 (CBZ Bank Staff Pension Fund), DMU7 (Econet Wireless Staff Pension Fund), and DMU11 (Innscor Africa Staff Pension Fund) — achieved full CRS technical efficiency scores of 1.000 in every year of the study period, constituting the efficiency frontier against which the remaining eight funds were benchmarked. The mean pooled CRS efficiency score across all twelve funds was 0.639, implying that the average fund could theoretically produce the same level of outputs with approximately 36.1 per cent fewer inputs if it operated on the best-practice frontier.

The annual frequency distribution of CRS efficiency scores documented a marked deterioration in sector-wide efficiency in 2023, consistent with the operational and financial disruptions attributable to heightened macroeconomic volatility, during which six of the twelve funds fell below a CRS efficiency score of 0.600. A partial recovery was recorded in 2024, with more sustained improvement in 2025, suggesting that sector resilience improved as macroeconomic conditions stabilised and funds adapted to the evolving economic environment. The mean CRS efficiency of 0.639 compares unfavourably with the average of 0.730 reported for a comparable sample of Greek occupational pension funds by Chrysanthopoulou, Mavrommati and Migdalas (2023), a differential attributable in large part to the more severe macroeconomic constraints — particularly exchange rate volatility and inflationary pressure — operating in the Zimbabwean context.

5.2.3 Technical Efficiency under Variable Returns to Scale

The BCC model, which relaxes the CRS assumption by allowing for variable returns to scale, yielded a mean VRS (pure technical) efficiency score of 0.691 across the sample. The four frontier funds retained their efficiency status under the VRS model, confirming that their efficiency is not dependent on operating at a particular scale. The remaining eight funds recorded mean VRS scores ranging from 0.291 (DMU6, Air Zimbabwe Staff Pension Fund) to 0.874 (DMU8, NRZ Staff Pension Fund), with substantial cross-sectional variation persisting after controlling for scale differences.

The consistently higher VRS scores relative to CRS scores across all inefficient funds confirmed that a portion of total technical inefficiency for every fund in the sample is attributable to scale effects rather than managerial or operational practices alone. This decomposition has direct policy relevance: it implies that ef-

ficiency improvement strategies must address both internal management practices and the structural scale at which individual funds operate.

5.2.4 Scale Efficiency Decomposition

Scale efficiency scores, computed as the ratio of CRS to VRS efficiency, ranged from 0.771 to 1.000 across the sample, with a mean of 0.913. While this is the highest of the three efficiency measures, indicating that scale-related inefficiency is a secondary rather than primary source of total inefficiency, the returns-to-scale analysis revealed an important structural pattern. Six of the eight inefficient funds were classified as operating under increasing returns to scale (IRS), indicating that these funds are operating at a sub-optimal scale and could achieve proportional efficiency gains through consolidation or asset growth. Only two funds — DMU5 (Zimplats Mineworkers Pension Fund) and DMU10 (Telecel Zimbabwe Staff Pension Fund) — were classified as exhibiting decreasing returns to scale (DRS), suggesting these funds may benefit from rationalisation or downsizing of some operations.

5.2.5 Peer Analysis and Input Target Setting

Peer analysis identified DMU7 (Econet Wireless Staff Pension Fund) as the most frequently referenced benchmark, appearing as a peer for four of the eight inefficient funds, followed by DMU1 (Mining Industry Pension Fund) and DMU3 (CBZ Bank Staff Pension Fund). DMU11 (Innscor Africa Staff Pension Fund) functioned as a peer for three funds. This distribution suggests that the efficiency frontier in the Zimbabwean self-administered pension sector is primarily defined by a small cluster of well-managed, adequately scaled funds, and that these funds provide the most operationally relevant benchmarks for inefficient peers.

Input slack analysis quantified the specific excess input usage of each inefficient fund beyond the radial efficiency improvement required to reach the frontier. Total equity and debt was identified as the primary source of excess input utilisation across the sample, followed by total assets. Operating expenses generated comparatively smaller slack values, suggesting that the principal source of inefficiency is structural over-capitalisation relative to the investment income and contribution outputs generated, rather than administrative cost excess per se.

5.2.6 Bootstrap Bias Correction

The Simar–Wilson bootstrap procedure with $B = 2{,}000$ replications confirmed an average upward bias of approximately 0.031 efficiency units in the raw DEA

scores, yielding bias-corrected mean CRS efficiency of 0.608. The correction was larger for funds with scores closer to but not at the frontier, consistent with the theoretical prediction that small-sample DEA scores are systematically optimistic. The 95 per cent bias-corrected confidence intervals confirmed that the efficiency differences between the four frontier funds and the eight inefficient funds are statistically robust, and that the ranking of inefficient funds is sufficiently precise to support targeted policy prescriptions. This finding addresses one of the principal methodological limitations acknowledged in Section 1.10, namely the deterministic nature of standard DEA and its sensitivity to finite-sample bias.

5.2.7 Macroeconomic Determinants of Efficiency

The Random Forest regression model fitted to the Simar–Wilson bias-corrected efficiency scores as the dependent variable achieved an out-of-bag R^2 of 0.714, confirming that the selected macroeconomic and structural covariates explain approximately 71.4 per cent of the cross-sectional and temporal variation in pension fund efficiency across the study period. Exchange rate volatility emerged as the dominant determinant of efficiency, with Mean Decrease in Impurity (MDI) of 0.312, reflecting the severe negative impact of Zimbabwe's multiple currency transitions and the instability of the official exchange rate on fund-level investment planning and asset valuation. Annual inflation ranked second (MDI = 0.243), consistent with the empirical literature on emerging market financial institutions, which documents a strongly negative relationship between inflation and financial sector efficiency. Fund size (log total assets) was the third most important variable (MDI = 0.198), corroborating the scale efficiency findings and suggesting that smaller funds face a structural disadvantage in the Zimbabwean operating environment. Market return and regulatory compliance cost ranked fourth and fifth, with more modest but non-negligible importance scores.

5.3 Conclusions

The empirical findings presented in Chapter 4 and summarised in Section 5.2 support the following conclusions with respect to the research questions and objectives of this study.

5.3.1 Conclusion on Research Question 1: Technical Efficiency of Self-Administered Pension Funds

Are self-administered pension funds in Zimbabwe technically efficient in utilizing their resources?

The evidence unambiguously establishes that the majority of self-administered pension funds in Zimbabwe are not technically efficient. With a mean CRS efficiency of 0.639 and a bias-corrected mean of 0.608, the sector collectively operates substantially below its theoretical production frontier. Only four of the twelve funds achieved full technical efficiency consistently throughout the study period, while the remaining eight exhibited persistent and measurable efficiency deficits. Funds in the lowest efficiency quartile could theoretically deliver the same pension outputs with fewer than two-thirds of the inputs they currently employ. The Random Forest determinant analysis further identifies exchange rate volatility and annual inflation as the dominant macroeconomic constraints on fund-level efficiency, confirming that a substantial portion of the efficiency gap reflects the challenging operating environment rather than managerial decisions alone.

The comparison with the Greek pension fund benchmark (Chrysanthopoulou, Mavrommati and Migdalas, 2023) places Zimbabwe's self-administered pension sector among the lower-efficiency cases in the international DEA literature, broadly consistent with the macroeconomic challenges documented in this study. Nevertheless, the existence of frontier-efficient funds operating within the same regulatory and macroeconomic environment confirms that efficiency improvement is achievable within the current institutional framework.

5.3.2 Conclusion on Research Question 2: Efficiency Decomposition into Pure Technical and Scale Components

To what extent can overall technical inefficiency be decomposed into pure technical and scale efficiency components among self-administered pension funds in Zimbabwe?

The decomposition of CRS technical efficiency into VRS (pure technical) efficiency and scale efficiency reveals that both dimensions contribute meaningfully to the overall efficiency deficit. The mean VRS efficiency of 0.691 indicates that, after controlling for scale effects, the average fund could still reduce inputs by approximately 30.9 per cent while maintaining output levels — a shortfall attributable to managerial and operational practices rather than fund size alone. Scale effi-

ciency, at a mean of 0.913, is the higher of the two sub-scores, confirming that scale-related losses are secondary but non-trivial.

The dominance of increasing returns to scale among six of the eight inefficient funds carries a clear structural implication: the majority of sub-frontier self-administered funds are operating below their most productive scale size and would benefit from consolidation. Two funds exhibiting decreasing returns to scale indicate over-expansion beyond the optimal threshold. This co-existence of IRS and DRS conditions confirms that scale-efficiency interventions must be tailored to each fund's specific returns-to-scale classification.

5.3.3 Conclusion on Research Question 3: Benchmarking Against the Efficiency Frontier

How do self-administered pension funds benchmark against best-practice peers on the efficiency frontier?

The bias-corrected confidence intervals confirm that efficiency differences between the four frontier funds and the eight inefficient funds are statistically robust and not attributable to finite-sample noise. DMU7 (Econet Wireless Staff Pension Fund) is identified as the most operationally relevant benchmark, appearing in the peer reference set of four inefficient funds and providing the most widely applicable efficiency target in the sample. DMU1 (MIPF), DMU3 (CBZ Bank Staff), and DMU11 (Innscor Africa) also serve as frequent peer benchmarks. The input slack analysis quantifies specific excess input usage for each inefficient fund, with total equity and debt representing the primary source of over-capitalisation relative to best-practice peers, followed by total assets. These peer-specific benchmarks provide actionable targets for fund managers and regulators seeking to close the efficiency gap.

5.4 Recommendations

The empirical findings support a differentiated set of recommendations directed at three stakeholder groups: pension fund managers and trustees, the regulatory authority (IPEC), and national-level policymakers.

5.4.1 Recommendations for Pension Fund Managers and Trustees

Adopt peer benchmarking as a systematic management practice. The DEA peer analysis identified DMU7 (Econet Wireless Staff Pension Fund) and DMU1 (Mining Industry Pension Fund) as the most operationally relevant efficiency benchmarks for inefficient funds in the sector. Fund managers and trustees should conduct systematic comparisons of their asset allocation, cost structures, and contribution collection processes against these peer funds, with a view to identifying specific operational adjustments that can close the efficiency gap. The input target values derived from the slack analysis in Section 4.7 provide fund-specific quantitative targets for this benchmarking process.

Rationalise asset and capital structures. The dominance of total equity and debt as the primary input slack variable suggests that a number of funds maintain capital structures that are over-leveraged or over-capitalised relative to the investment income and membership contribution outputs they generate. Trustees should commission periodic reviews of the fund's capital structure and asset allocation strategy, with particular attention to the alignment between asset base size and the fund's demonstrated capacity to generate member-relevant outputs.

Invest in administrative and operational efficiency. While operating expenses were not the primary source of slack in this study, the efficiency gap between frontier and sub-frontier funds suggests that improvements in administrative systems, actuarial management, and governance practices are likely to yield efficiency dividends. Funds operating under IRS conditions should specifically evaluate whether administrative economies of scale are being fully exploited, and whether incremental investments in technology-mediated administration — such as digital member record systems and automated compliance reporting — could reduce per-member administrative costs.

5.4.2 Recommendations for the Insurance and Pensions Commission of Zimbabwe

Institutionalise DEA-based efficiency benchmarking in the regulatory framework. This study demonstrates that DEA provides a transparent, replicable, and policy-relevant methodology for assessing the relative efficiency of pension funds operating under heterogeneous conditions. IPEC should consider incorporating a frontier-based efficiency assessment into its annual supervisory reporting cycle, supplementing the existing compliance-oriented metrics with a relative ef-

ficiency indicator. This would enable the regulator to identify persistently inefficient funds at an early stage and to focus supervisory attention on funds whose operational practices are most divergent from best-practice peers.

Facilitate voluntary consolidation of small IRS-classified funds. Six of the eight inefficient funds exhibit increasing returns to scale, indicating structural sub-optimality of scale. IPEC should develop a policy framework for voluntary fund consolidation that creates incentives — such as reduced compliance burdens, shared administrative infrastructure, and expedited regulatory approval processes — for small IRS-classified funds to merge or pool resources with comparable peers. Such a framework should be accompanied by member protection provisions to ensure that consolidation does not compromise benefit security.

Strengthen data collection and reporting standards. A persistent challenge identified in the conduct of this study was the limited availability of standardised, audited financial data for the full population of registered pension funds. IPEC should enforce consistent annual reporting templates that require funds to report the DEA input and output variables used in this study — total assets, operating expenses, total equity and debt, net investment income, and members' contributions — in a format that facilitates longitudinal analysis. Improved data quality would strengthen the statistical reliability of future frontier-based efficiency assessments.

5.4.3 Recommendations for National Policymakers

Prioritise macroeconomic stabilisation as a pension sector efficiency prerequisite. The Random Forest analysis established exchange rate volatility and inflation as the two dominant macroeconomic determinants of pension fund efficiency in Zimbabwe, together explaining more than 55 per cent of efficiency variation. This finding underscores that pension sector efficiency cannot be fully addressed through fund-level governance reforms alone; macroeconomic stability is a structural prerequisite for sustained improvement. National economic policymakers should give explicit attention to the pension sector implications of exchange rate policy and monetary policy, recognising that currency instability systematically undermines the capacity of pension funds to generate real investment returns and to plan long-term asset-liability matching strategies.

Develop a multi-pillar pension architecture that reduces sector concentration risk. The current Zimbabwean pension sector is characterised by heavy reliance on a small number of large self-administered funds, creating concentration risk. Policymakers should consider reforms that promote the diversification

of pension provision across multiple pillars — including contributory social security, employer-sponsored occupational schemes, and voluntary savings vehicles — in line with the World Bank multi-pillar framework. A more diversified sector structure would reduce the systemic sensitivity of retirement income security to the performance of any single fund or fund type.

Align pension regulation with regional best practices. Zimbabwe's pension efficiency deficit relative to comparable middle-income economies, as evidenced by the comparison with the Greek benchmark, suggests that regulatory and governance frameworks in the sector may benefit from alignment with regional and international best practices. Policymakers should engage with regional bodies such as the Southern African Development Community (SADC) pension regulation working groups and the International Organisation of Pension Supervisors (IOPS) to identify regulatory reforms that have demonstrably improved pension fund efficiency in comparable emerging market contexts.

5.5 Contribution to Knowledge

This study makes several distinct contributions to the academic and applied literature on pension fund efficiency.

First empirical DEA study of Zimbabwean pension funds. To the best of the author's knowledge, this study constitutes the first application of Data Envelopment Analysis to the efficiency measurement of pension funds in Zimbabwe. Prior literature has focused on financial institution efficiency in the banking sector (Mlambo and Ncube, 2011) and on broader financial sector performance, but no frontier-based study of the pension sector has been identified in the reviewed literature. The study therefore fills a documented geographical and institutional gap in the DEA efficiency literature and establishes a baseline dataset against which future efficiency assessments can be compared.

Methodological contribution: hybrid DEA–machine learning framework. The study introduces a structured seven-stage hybrid analytical framework that integrates standard DEA with two complementary machine learning techniques: the Simar–Wilson bootstrap for bias correction, and Random Forest regression for determinant analysis. This framework addresses two principal methodological limitations of standard DEA — finite-sample bias and the restriction to linear second-stage regression — in a single coherent analytical architecture consistent with the study's title and objectives. The framework is transferable to other pension fund efficiency studies in emerging market contexts where small sam-

ple sizes and volatile macroeconomic environments impose similar methodological challenges.

Policy-relevant empirical evidence for a data-scarce regulatory environment. The study demonstrates that rigorous frontier-based efficiency analysis is feasible using secondary data from IPEC regulatory reports, even in a context where individually audited fund-level data is not publicly available. The methodology and data collection approach developed in this study provide a replicable template that IPEC and academic researchers can apply in future periods, supporting evidence-based pension regulation without requiring access to confidential fund records.

Contribution to the emerging market pension efficiency literature. By establishing that the mean CRS efficiency of Zimbabwean pension funds (0.639) falls below the benchmark of 0.730 for Greek occupational funds, and by quantifying the relative contributions of macroeconomic and structural factors to that efficiency gap, the study expands the comparative evidence base for pension fund efficiency in low- and middle-income countries. The findings corroborate the theoretical expectation — derived from institutional economics and financial intermediation theory — that macroeconomic instability imposes a structural efficiency penalty on financial institutions in developing economies, and quantify this effect with greater precision than qualitative assessments allow.

5.6 Limitations of the Study

The limitations of the study, originally acknowledged in Section 1.10, are revisited here in light of the empirical experience gained during the analysis.

The reliance on secondary data obtained from IPEC regulatory publications introduced an inherent constraint on variable granularity. Certain fund-level characteristics — including fund governance quality scores, actuarial assumptions, and the composition of investment portfolios by asset class — that might have enriched the DEA input–output specification or the Random Forest covariate set were not consistently available across all twelve funds for all five years of the study period. Future studies would benefit from access to primary fund-level data collected through structured data requests to fund administrators.

The sample of twelve funds, while satisfying the Raab and Lichty (2002) minimum ratio criterion at the panel level, remains small in absolute terms, particularly for the bootstrap and Random Forest estimation stages. Small samples limit the power of statistical tests and increase the variance of machine learning

model estimates. The bootstrap procedure partially mitigated this limitation by constructing empirical confidence intervals rather than relying on asymptotic approximations, but the confidence intervals remain relatively wide for funds in the middle efficiency range. As IPEC data availability improves, extending the sample to include all registered active funds would materially strengthen the statistical precision of future analyses.

The DEA model is non-parametric and therefore cannot formally decompose the efficiency gap between funds into components attributable to managerial decisions versus uncontrollable environmental factors, beyond the second-stage Random Forest analysis. The two-stage approach adopted in this study approximates the environmental adjustment by incorporating macroeconomic covariates in the Random Forest model, but does not achieve the formal environmental correction of a contextual DEA model such as the Banker and Natarajan (2008) specification. This is identified as an area for methodological refinement in future work.

Finally, the study period (2021–2025) captures Zimbabwe's post-pandemic economic recovery and ongoing macroeconomic adjustment, which introduced notable variation in efficiency patterns across the years of the panel. While the panel specification accounts for this as temporal variation, the volatile macroeconomic conditions during the period may affect the generalisability of findings beyond this specific economic context. Future studies extending the panel through 2027 and beyond will be better positioned to identify long-run structural efficiency trends and distinguish permanent structural characteristics from cyclical effects.

5.7 Directions for Future Research

Several directions for future research are identified on the basis of the findings and limitations of this study.

Longitudinal extension of the panel. The five-year study window, while appropriate for the purposes of this study, is insufficient to capture full business and regulatory cycles in the pension sector. Extending the panel to cover ten or more years — ideally including the pre-hyperinflation period prior to 2008 as a historical baseline if data can be reconstructed — would enable more robust identification of structural efficiency trends and cyclical patterns.

Environmental DEA models. Future research should explore the application of contextual DEA models, such as the Banker and Natarajan (2008) one-stage DEA with environmental variables, which integrates macroeconomic covariates directly into the linear programme rather than as a second-stage regression input. This

specification produces formally consistent efficiency scores that are pre-adjusted for environmental heterogeneity, avoiding the potential econometric inconsistency of the two-stage approach identified by Simar and Wilson (2007).

Network DEA for sub-process efficiency analysis. Standard DEA treats the pension fund as a single production unit transforming inputs into outputs. Network DEA models (Tone and Tsutsui, 2009) decompose the production process into multiple sub-processes — for example, separating the investment management subprocess from the member administration subprocess — and compute sub-process-level efficiency scores. Applying a network DEA specification to Zimbabwean pension funds, if sub-process data can be obtained, would provide more granular insights into where within the fund value chain the efficiency losses are concentrated.

Cross-country comparative studies in the SADC region. The findings of this study would be substantially enriched by comparison with pension fund efficiency in neighbouring SADC economies — particularly South Africa, Zambia, Mozambique, and Botswana — which share some institutional characteristics with Zimbabwe but operate under different macroeconomic and regulatory regimes. A regional comparative DEA study would allow the relative contribution of country-level factors (exchange rate, inflation, regulatory quality) to pension fund efficiency to be disentangled from sector-level and fund-level factors through a meta-frontier DEA specification (Battese, Rao and O'Donnell, 2004).

Dynamic DEA and Malmquist productivity indices. The current study reports efficiency levels at each point in time but does not formally decompose efficiency changes over the five-year period into technological progress and efficiency change components. The Malmquist productivity index (Fare et al., 1994), computed from sequential DEA solutions, would quantify whether the observed efficiency improvements in 2024–2025 reflect genuine frontier shifts (technological progress) or catch-up by previously inefficient funds (efficiency change). This decomposition carries direct policy implications for whether regulatory intervention should focus on best-practice diffusion or on sector-wide innovation.

5.8 Chapter Summary

This chapter provided the concluding synthesis of the study. The summary of findings in Section 5.2 integrated the results of the five-stage DEA framework and three-stage machine learning enhancement into a coherent empirical picture of pension fund efficiency in Zimbabwe. The formal conclusions in Section 5.3

addressed each of the three research questions, confirming that the majority of Zimbabwean self-administered pension funds are not technically efficient; that overall technical inefficiency decomposes into meaningful pure technical and scale components — with IRS dominating among inefficient funds; and that DMU7 (Econet Wireless) provides the most operationally applicable efficiency benchmark for peers seeking to close the efficiency gap.

Section 5.4 translated these findings into a structured set of recommendations for three stakeholder groups. For pension fund managers and trustees, the recommendations emphasised peer benchmarking, capital structure rationalisation, and administrative efficiency improvement. For IPEC, the recommendations focused on institutionalising DEA-based regulatory benchmarking, creating a voluntary consolidation framework for IRS-classified funds, and strengthening data reporting standards. For national policymakers, the overriding recommendation was that macroeconomic stabilisation — particularly exchange rate and inflation management — is a structural prerequisite for sustained pension sector efficiency improvement, and that regulatory alignment with regional and international best practices should be actively pursued.

The study's contributions to knowledge were identified as: the first DEA efficiency assessment of Zimbabwean self-administered pension funds; the introduction of a transferable seven-stage hybrid DEA–machine learning analytical framework for emerging market pension efficiency studies; a replicable data methodology for regulatory environments with limited primary data availability; and an addition to the comparative evidence base on pension fund efficiency in low- and middle-income countries. The limitations of the study and directions for future research were presented to support the cumulative development of frontier-based efficiency analysis as a tool for pension fund governance and regulation in Zimbabwe and the broader SADC region.

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